



**FINANCIAL
REPORTING CENTRE**

2024

Money Laundering and Terrorism Financing Trends and Typologies Report



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<https://www.frc.go.ke>



Old Mutual Tower 13th Floor



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LIST OF ABBREVIATIONS

AML	Anti-Money Laundering
AEC	Anonymity Enhanced Cryptocurrencies
BO	Beneficial Ownership
CBK	Central Bank of Kenya
CFT	Countering the Financing of Terrorism
CPF	Countering Proliferation Financing
DNFBPs	Designated Non-Financial Businesses and Professions
ESAAMLG	Eastern and Southern Africa Anti-Money Laundering Group
FATF	Financial Action Task Force
FIU	Financial Intelligence Unit
FRC	Financial Reporting Centre
FTF	Foreign Terrorist Fighters
ICRG	International Cooperation Review Group
ICOs	Initial Coin Offerings
ICT	Information and Communication Technology
IPO	Initial Public Offering
KYC	Know Your Customer
LEA	Law enforcement agencies
LSK	Law Society of Kenya
ME	Mutual Evaluation
MLRO	Money Laundering Reporting Officer
MRP	Money Remittance Providers
NPO	Not for Profit Organizations
NRA	National Risk Assessment
OTP	One Time Pin
PEP	Politically Exposed Persons
POCAMLA	Proceeds of Crime and Anti-Money Laundering Act, 2009
POPR	Post Observation Period Review
POTA	Prevention of Terrorism Act, 2012

PSP	Payment Service Providers
P2P	Peer to Peer
RI	Reporting Institutions
SASRA	Sacco Societies Registration Authority
STR	Suspicious Transaction Report
TCSPs	Trusts and Company Service Providers
UNSCR	United Nations Security Council Resolutions
VA	Virtual Assets
VASPs	Virtual Assets Service Providers
VPN	Virtual Private Network

MESSAGE FROM THE DIRECTOR GENERAL

It is my pleasure to present this National Money Laundering and Terrorism Financing (ML/TF) Trends and Typologies report, a significant milestone in the ongoing efforts to combat illicit financial activities. The report represents a comprehensive analysis of the methods and trends used by the ML/TF actors, thus providing insights into the evolving nature of these threats. It further highlights the importance of collaboration among reporting institutions, law enforcement agencies and other stakeholders in identifying and mitigating risks within the ML/TF landscape.



This report identifies several critical typologies, including the misuse of shell companies to hide the true ownership and source of funds, structuring where large transactions are broken down into smaller amounts to avoid reporting thresholds and detection, and use of virtual assets for illicit transactions due to their anonymity and cross-border capabilities. These typologies underscore the need for enhanced due diligence and reporting.

The typologies presented in this report are a crucial resource for strengthening a risk-based approach to ML/TF supervision, besides providing guidance to relevant authorities in their enforcement and compliance duties. They also serve as an educational tool for competent authorities, reporting institutions and the public, as they outline the tactics employed by criminals and pinpoints key indicators for identifying ML and TF. The typologies are also expected to assist in the development and implementation of anti-money laundering and combating the financing of terrorism policies and strategies.

Finally, I would like to extend my gratitude to all stakeholders who have contributed to the development of this report. Together, we must continue to be adoptive and innovative in our strategies to combat money laundering and terrorism financing to ensure that our country remains a hostile environment for illicit financial activities.

A handwritten signature in black ink, appearing to be 'Saitoti Ole Maika'.

Saitoti Ole Maika, MBS

DIRECTOR GENERAL

EXECUTIVE SUMMARY

The Financial Reporting Centre is Kenya's financial intelligence unit. One of the mandates of the Centre is to develop and publish money laundering (ML) and terrorism financing (TF) trends and typologies reports to assist reporting institutions, LEAs and other stakeholders to better understand the nature of existing and emerging ML and TF threats, and pursue effective strategies to address them.

The Centre developed this report with input from its own analytical observations as well as insights from competent authorities, regional and international anti-money laundering and counter-financing of terrorism bodies, among other stakeholders within the AML/CFT/CPF space. The analysis of issues discussed herein demonstrates understanding, prevalence and evolution of various economic crimes over the past years.

In recent periods, the reporting regime has expanded from financial institutions to bring on board Designated Non-Financial Businesses and Professions and other Non-Banking Financial Institutions. This report is therefore timely, as it will assist sectors to effectively detect and report ML/TF suspicion. Additionally, in line with Kenya's FATF Action Plan, the development of the ML/TF Trends and Typologies report is critical in demonstrating both the understanding of the country's risk profile, and providing guidance towards addressing the identified risks.

This report broadly analyses generation, flow, concealment and utilization of proceeds of crimes from various economic crimes. The report also looks into methods of terrorist financing through its core activities of raising, moving, storing and use of funds. The report further explores ML and TF trends associated with different predicate offences and within both the financial and DNFBPs sectors.

Most importantly, the report not only considers the predicate offences, but also specific red flags associated with the different offences. This will assist relevant competent authorities to identify various offences and their manifestation, a critical component that will guide deployment of mitigating measures.

CHAPTER 1

INTRODUCTION

Background

The Financial Reporting Centre (FRC) is Kenya's Financial Intelligence Unit established under section 21 of the POCAMLA, 2009. The principal objective of FRC is to assist in the identification of the proceeds of crime and the combating of money laundering and the financing of terrorism. Besides identification of proceeds of crime and combating of ML/TF/PF, the Centre also undertakes AML/CFT/CPF risk-based supervision of reporting entities.

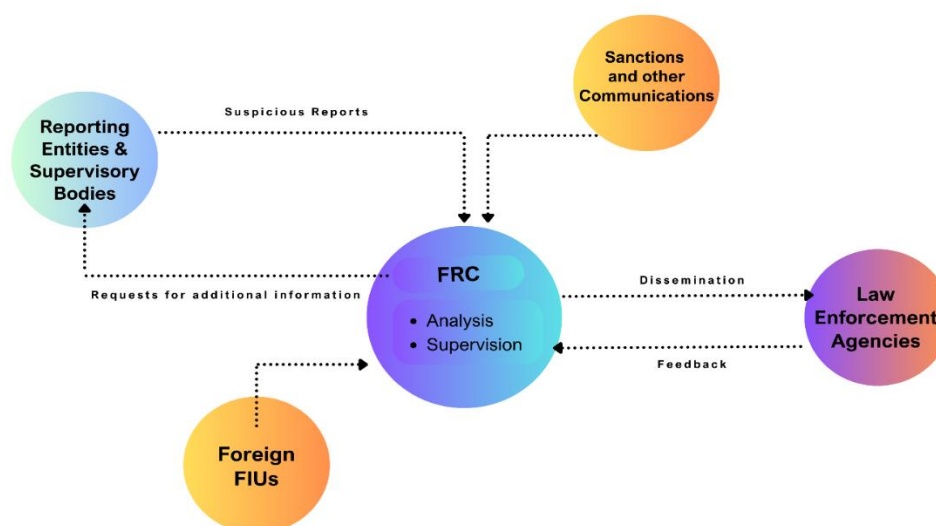
In its capacity to identify proceeds of crime, the Centre undertakes operational analysis, strategic analysis and dissemination of financial intelligence both spontaneously and upon request. Operational analysis involves receipt and analysis of suspicious transaction reports and any other information related to ML, TF and associated predicate offences. The strategic analysis function of the Centre endeavours to identify risks, trends, patterns and typologies relating to financial crimes.

The Centre relies on reports from designated reporting entities as provided for in POCAMLA. These include financial institutions, DNFBPs, among other entities. The Centre also relies on other sources such as whistle-blower reports and exchanges with local law enforcement agencies and foreign FIUs. The reports received go through the value addition processes and analysis and later disseminated to relevant law enforcement agencies for further action. The Centre receives several types of reports which form the basis for data analysis. This is crucial for understanding the broader patterns of financial crime and the movement of illicit funds. The reports received by the Centre from reporting entities include:

- a. **Suspicious Transaction Reports (STRs)** - A report filed by a reporting institution when there is suspicion or reasonable grounds to suspect that the funds are proceeds of crime, or are related to money laundering or financing of terrorism.
- b. **Suspicious Activity Reports (SARs)** - Refer to reports that capture potentially suspicious behavior or activities that may not yet involve a completed transaction. They focus more on the broader context of suspicious behavior or patterns that indicate possible involvement in illegal activities such as money laundering or terrorism financing.

- c. **Cash Transaction Report (CTR)** – This is a threshold report that is filed by reporting institutions for all cash transactions that exceed **USD 15,000** or its equivalent in other currencies.
- d. **Cross Border Monetary Instrument Declarations** – This is a report on declarations made by persons crossing gazetted Kenyan border points while in possession of currency or monetary instruments exceeding **USD 10, 000** or its equivalent in any other currency.
- e. **Suspicious Transaction and Activity Reports (STARs)** - Combine the elements of both STRs and SARs. STARs are submitted when the reporting institution detects both suspicious transactions and suspicious activities in the conduct of the customer.

Figure 1: Suspicious Reports Lifecycle



Objectives of the Report

This report seeks to assess, identify and understand the various methods and techniques used by criminals to commit financial crimes including ML and TF in the country, as well as how these techniques evolve over time to avoid detection. It goes further to enumerate red flags to look out for when combating these crimes. More precisely, the report will be useful in the following ways:

Figure 2: Objectives of the report

**a. Training and Awareness**

The report will be key in training and creating awareness to competent authorities, reporting institutions and the public on the risks and vulnerabilities in the financial systems as well as the specific methods used by criminals, and red flags that would help to identify ML/TF/PF.

b. Policy Formulation

The report will guide in the development and execution of AML/CFT policies and strategies. It will also assist in enhancing regulatory frameworks and enforcement mechanisms of government and regulatory bodies.

c. Monitoring and Supervision

With regards to the requirement for a risk-based approach in supervision and mitigating AML/CFT/CPF risks, relevant competent authorities in their enforcement and compliance function will be properly guided to undertake monitoring and supervision of their respective sectors with a clear understanding of financial crime risks, threats and vulnerabilities.

d. Collaboration

This report will facilitate enhanced collaboration among stakeholders along the AMLCFT/CPF value chain through sharing of insights regarding financial crime.

CHAPTER 2

STATISTICAL TRENDS AND INSIGHTS

Statistical analysis plays an important role in identifying patterns, trends, and anomalies within financial transactions that may signal illegal activities. Such data-driven insights are essential for policy formulation, compliance monitoring, and strategic planning in the fight against financial crimes. Effective use of statistics provides a bigger and clearer picture of the risks and vulnerabilities within the AML/CFT framework, and ultimately guide policymakers in coming up with effective strategies at the Centre and National level.

Role of Data in Policy Formulation and Supervision

- ❖ The use of data insights informs national and institutional policy strategies aimed at combating AML/CFT/CPF. This data-driven approach ensures that policies are based on actual trends and patterns rather than assumptions.
- ❖ By analyzing reports from various Reporting Entities, the FRC is well informed of compliance levels of reporting entities and thus develop need-based monitoring and enforcement tools.
- ❖ The Centre is able to gauge the quality of reports received and identify training needs for reporting institutions to enable them file actionable reports.

Summary of Statistics

Between 2021 and 2023, the Centre received more than 14,000 reports, amounting to approximately Kshs. 7.016 trillion. These reports comprised more than 11,000 suspicious transaction reports (STRs)- Kshs. 6.976 trillion; Approximately 4,000 suspicious activity reports (SARs)- Kshs. 997.03 million; and more than 30 suspicious transaction activity reports (STARs)- Kshs. 39.30 billion. In 2023, the number of reports received from reporting entities increased by 6.69%, demonstrating the Centre's growing involvement in anti-money laundering (AML), counter-financing of terrorism (CFT), and counter-proliferation financing (CPF) efforts.

From the total reports received, 91.04% with a cumulative amount of Kshs. 7.01 trillion of the reported amounts, originated from Commercial and/or Mortgage Banks. This reflected the skewness in the reporting regime and underpinned the need to expand the focus to other non-banking financial institutions and Designated Non-Financial Businesses and Professions DNFBP. This will assist in ensuring that the whole reporting ecosystem is effectively implementing the reporting obligations in accordance with the law.

Figure 3: Suspicious Report Type Distribution

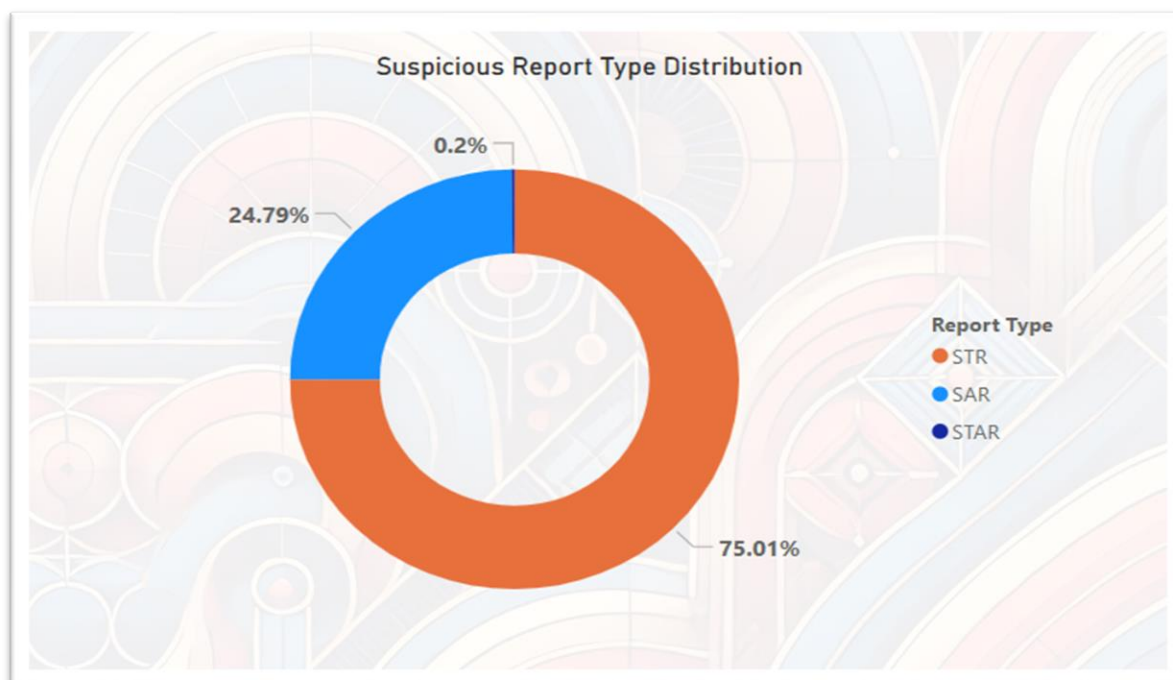
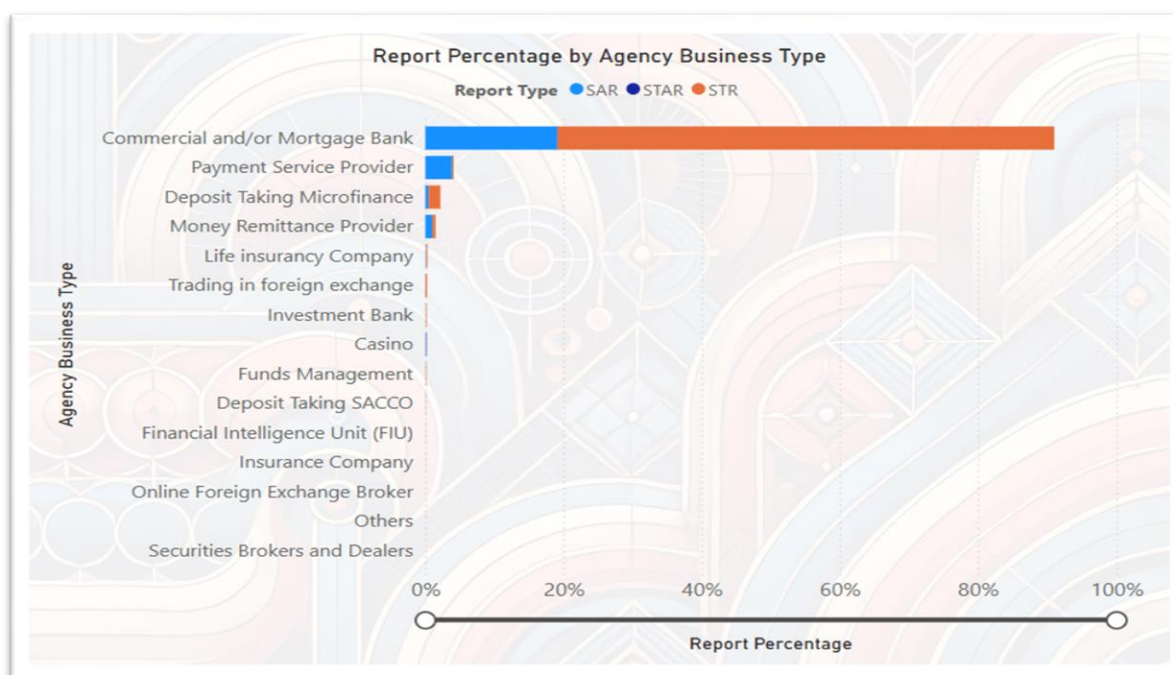


Figure 4: Distribution of Suspicious Reports per Economic Sector



The graph represents the aggregated distribution of Suspicious Reports (SAR, STR & STARs) received over the period. Commercial banks made over 91% of the reports.

Despite the low numbers of reports from NBFIs & DNFBPs, the overall number of reports

have

steadily increased over the years since 2021. This may be attributed to increased levels of awareness, automation of the reporting process and amendment of the laws to expand the institutions mandated to report. Additionally, reporting entities have enhanced their monitoring systems thus able to identify suspicious activities within their operations thus contributing to the overall number of reports.

Figure 5: Monthly Suspicious Reports submitted between 2021 and 2023

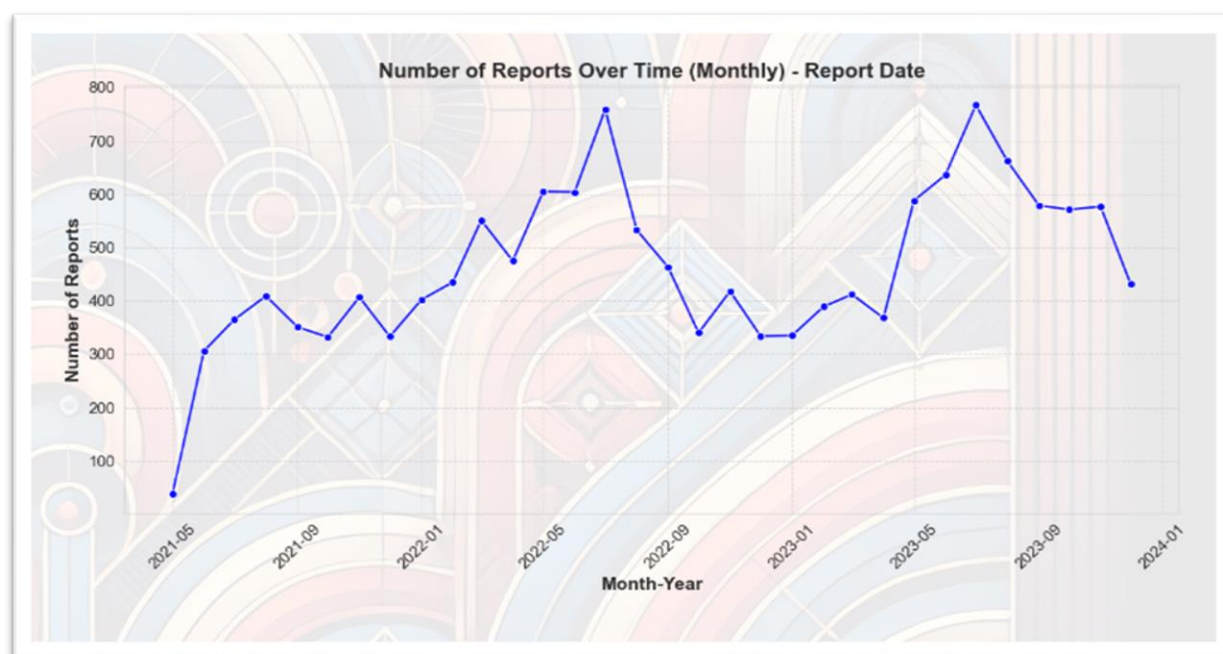


Figure 6: Top ten ML indicators reported in suspicious reports

Indicator Frequency	Indicator
4830	Payments from government entities followed by immediate/rapid cash withdrawals
3846	The customer's transaction activity does not match with known business profile/ background
1658	Transactions that appear to be structured to avoid reporting requirements.
1479	Transactions where there are suspicion as to the validity of the documents submitted.
1406	Unexplained income and activity inconsistent with financial situation/customer profile.
1330	Multiple cash deposits/ incoming wire transfers into a customer's account from third parties followed by immediate outward cheques or wire transfers to other third parties or cash withdrawals
1125	Activity is inconsistent with stated business.
1103	Public servant or government employees who trade with the same government or county government
1014	The customer's account is not used for its intended purpose.
933	Government entities employees using companies operated by proxies /relatives to receive business from government entities

These indicators point to potential financial crimes including money laundering, corruption and fraud and are all aimed at distancing the perpetrators from the illicit funds, complicating the transactions audit trail and thus avoiding detection by authorities.

Figure 7: Top 10 Indicators linked to Terrorism Financing Reports

Indicator	Indicator Frequency
Direct or indirect communication to known/suspected terrorist, human smugglers or poachers.	80
The customer's transaction activity does not match with known business profile/ background	57
Multiple deposits are made to a client's account by third parties.	44
The customer is publicly known to have criminal, civil or regulatory proceedings against him or her for crime, corruption or misuse of public funds or is known to associate with such persons. Sources for this information include news items or Internet sea	39
A large amount of cash is withdrawn and immediately credited into another account	35
Multiple cash deposits/ incoming wire transfers into a customer's account from third parties followed by immediate outward cheques or wire transfers to other third parties or cash withdrawals	32
Receipt of large international payments when there is no business rationale.	25
High volume of transactions within a short period.	22
Customers sending funds to sanction individuals/entities	21
Multiple third party funding activities of a mobile money account, followed by the immediate transfer of funds to unrelated bank account(s).	19
Multiple remittances received in short intervals	19

CHAPTER 3

MONEY LAUNDERING TRENDS AND TYPOLOGIES

Kenya's National Risk Assessment (NRA) on money laundering notes that the country is exposed to money laundering (ML) due to an array of inherent risks. These risks are associated with Kenya's advanced financial sector and its positioning as a regional hub. The assessment also identifies the key proceeds-generating predicate offences in the country i.e. corruption & economic crimes, fraud, tax-related crimes, bribery, trafficking drugs as well as human beings, wildlife and environmental crimes, theft, among others. This chapter outlines the financial crime typologies categorized by frequently observed predicate offences that are contributing to money laundering and the different sectors that have been exploited.

2.1 Corruption

Manifestations of corruption during the review period (2021-2024) majorly bordered on conflict of interest, procurement fraud, embezzlement and receipt of kickbacks. These were observed in more than 130 cases disseminated by the Centre to relevant authorities. These trends were prevalent both at the county and national level with the ongoing trend of public officials trading either directly or through proxies. The schemes also involved acts of fraud and forgery whereby the corrupt officials used forged documents to legitimize the transactions as evidenced by discrepancies in the support documents provided. The funds acquired were eventually withdrawn in cash, transferred to accounts of related companies and eventually invested in different sectors of the economy. Instances of abuse of CBOs for corruption and laundering purposes were also noted whereby corrupt public officials colluded with these organizations to launder proceeds of corruption. The sub-sections below provide a breakdown of different manifestations of corruption, their red flags and case studies.

Case 1: Conflict of interest in County Government X

In County X, 15 companies were contracted for various fumigation, cleaning, landscaping and construction services. Several issues were observed in the company profiles. All the companies were linked to employees, some who sat in different tender award committees and all the companies were registered on the same day. They also had county employees or their relatives listed as directors and shareholders. The companies listed for construction works had not been registered with the National Construction Authority, a prerequisite for all construction related companies operating in Kenya.

Between February 2021 and July 2022, the companies received a total of Kshs. 361,867,341 from the county. Documents presented had the following discrepancies: Some of the tenders were awarded before the companies were registered, some contract agreements were signed after the project was executed, duplicated local Service orders (LSO) issued to different companies for the same service.

The funds were utilized through cash withdrawals in structured amounts below the reporting threshold and transfers to proprietors' accounts, to County X employees and to related companies' accounts.

Red Flags

- *Tenders awarded before companies were registered*
- *Contract agreements signed after the project was executed*
- *Different companies issued local Service orders (LSO) for the same service*
- *Companies linked to employees in tender award committees*
- *Companies registered on the same day*
- *County employees or their relatives listed as directors and shareholders in companies trading with the same county*
- *Construction companies not registered with the National Construction Authority*

Case 2: Abuse of CBOs for procurement fraud

A community Based Organization was formed in November 2022 in Y County with an objective of promotion of the general welfare, eradicating poverty, raising the living standards, and promotion of unity, co-operation and understanding among its members. As per the CBO bylaws, its activities were to be financed through member contributions and donations.

In June 2023, the CBO received a total of Kshs. 185,692,745.95 from County Z described as payment for emergency aid and supported with a project funding proposal. However, the proposal for funding was done a month before the CBO registration date while the description of the project funding in the proposal differed with the letter of funding for the project. Additionally, the project breakdown was for Kshs. 400 million as opposed to the letter of approval for Kshs. 450million.

The funds were utilized through cash withdrawals, transfers to two hardware business dealing in supply of construction materials. The utilization of the funds was described as construction of water pans and simple soil dams, provision of educational services in farming, supply and delivery of chicken incubators, construction materials and building bridges.

Red flags

- *Proposal for funding was done before the CBO registration date*
- *Funds not used for the intended purpose.*

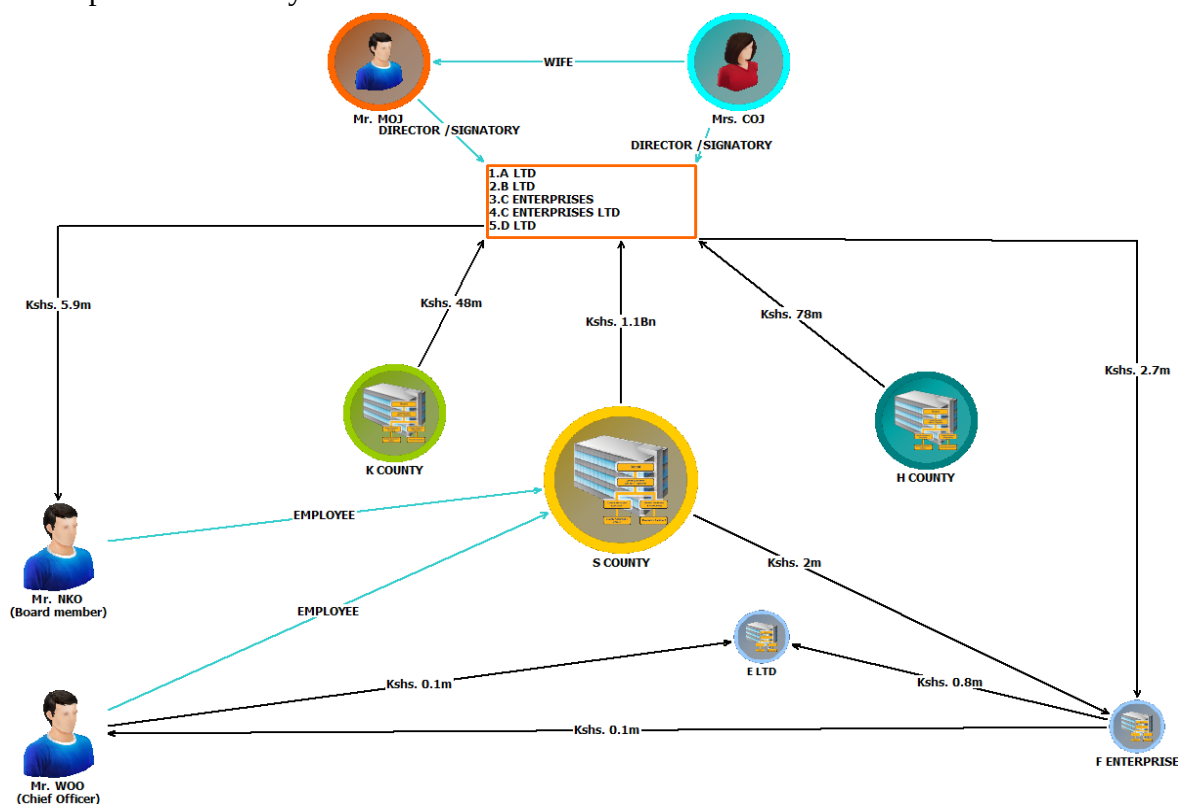
- *Inconsistency between project breakdown amount in the proposal and disbursed amount*
- *Funds being utilized through rapid cash withdrawals without economic rationale*

Case 3: Embezzlement by PEPs

Two politically exposed persons, Mr. Nko and Mr Woo working in County K colluded with Directors of 5 related construction Companies to embezzle public funds. Mr. Nko worked in the County as a member of the County Public Service Board while Mr Woo is a Chief Officer in Department of Public Construction and Public Works.

Between 2019 and 2023, the five companies, One Limited, Two Limited, Three Limited, Four Limited and Five Limited, all owned by Mr. HOJ & Mrs. COJ received a total of Kshs. 1.1 billion from County K, Kshs. 78M from County H and Kshs. 48M from County Z. These funds were payments towards multiple construction works.

Support documents provided had several discrepancies: LPOs presented were addressed to companies different than those paid, tender documents were undated, tender numbers in the tender award documents differed with the letters of award. Some of the payments to the companies were duplicated across multiple companies. When the funds were credited to the bank accounts, they were utilized through cash withdrawals by the directors and transfers to 2 companies owned by Mr. Nko. This is summarized in the chart below.



Red Flags

- *LPOs presented were addressed to companies different from those paid*

- *Tender documents were undated*
- *Tender numbers in the tender award documents differed with the letters of award*
- *Some of the payments to the companies were duplicated across multiple companies*
- *PEPs involved worked for the procuring entity (county)*
- *Some of the beneficiaries of the monies paid out were county employees*

Case 4 - Corruption and unexplained wealth

Person 1 opened an account with Bank A and the KYC documents provided indicated that Person 1 was an employee (accountant) of public entity '1' earning a salary of less than Kshs 100,000.00 and residing in a modest middle-class neighbourhood of the City.

Four years after account opening and in a span of four months, the account received daily deposits of amounts ranging between Kshs 300,000.00 and Kshs 2,500,000.00 which totalled to Kshs 200,000,000.00. He described the funds as rental income. He failed to provide supporting documents to Bank A to support the source of funds. Bank A filed an STR to the Centre.

Analysis confirmed that Person 1 was in charge of finance of public entity '1'. Further analysis revealed that Person 1 was probably siphoning funds from entity '1' where third parties made multiple cash deposits into his account. Person 1 did not provide supporting documents on the source and purpose of funds received from third parties. Person 1 also received some funds from an entity that had been paid by his employer, pointing to probable payment of a kickback. In a span of 5 years, he was worth Kshs 1,000,000,000.00 despite his salary being below Kshs 150,000.00.

A dissemination was made to 2 competent Law Enforcement Agencies. Law Enforcement Agency 1 applied for court orders to freeze the account as it undertook the investigations. When the orders expired, Agency 2 applied for orders again and upon expiry Agency 1 reapplied for the orders until investigations were concluded. Charges of corruption were preferred against person 1.

- ✓ Agency 2 investigated person 1 for failing to pay obligatory taxes on income.
- ✓ Agency 1 investigated person 1 for corruption and financial crime.

Person 1 was prosecuted for acquisition of unexplained assets hence corruption and economic crime. In defence, Person 1 narrated that the funds were from business ventures which was not satisfactory. In the ruling Person 1 was to pay a fine of Kshs. 282,648,604.00 to the Government and forfeit a residential house worth Kshs. 35,000,000.00.

Red-flags/Indicators

- *Accumulation of substantial amount of money within a short period of time*
- *Unexplained sources of wealth*
- *Known income did not match accumulated cash and wealth*
- *Daily deposits of large amounts to bank accounts*

- *Receipt of money from entity contracted and paid by his employer through the office he worked in*
- *Sudden change in lifestyle*
- *Inability to substantiate claims of being engaged in business ventures*

2.2 Tax evasion

There are different types of taxes payable in Kenya such as Income Tax, Rental Income Tax, Value Added Tax (VAT), Capital Gains Tax (CGT), Turnover Tax, Excise Duty and Agency Revenue. However, some tax payers both natural and legal persons deliberately subvert the law in order to reduce or avoid paying taxes. Types of tax evasion include smuggling of goods, under declaration or non-declaration of income, tax fraud, dishonest tax reporting, and overstating deductions. During the review period, the Centre disseminated more than 90 tax evasion cases. The sections below discuss the trends in trade-based money laundering and tax fraud as observed globally and locally.

2.2.1 Trade- Based Money Laundering (TBML)

Some of the manifestations of TBML are as follows:

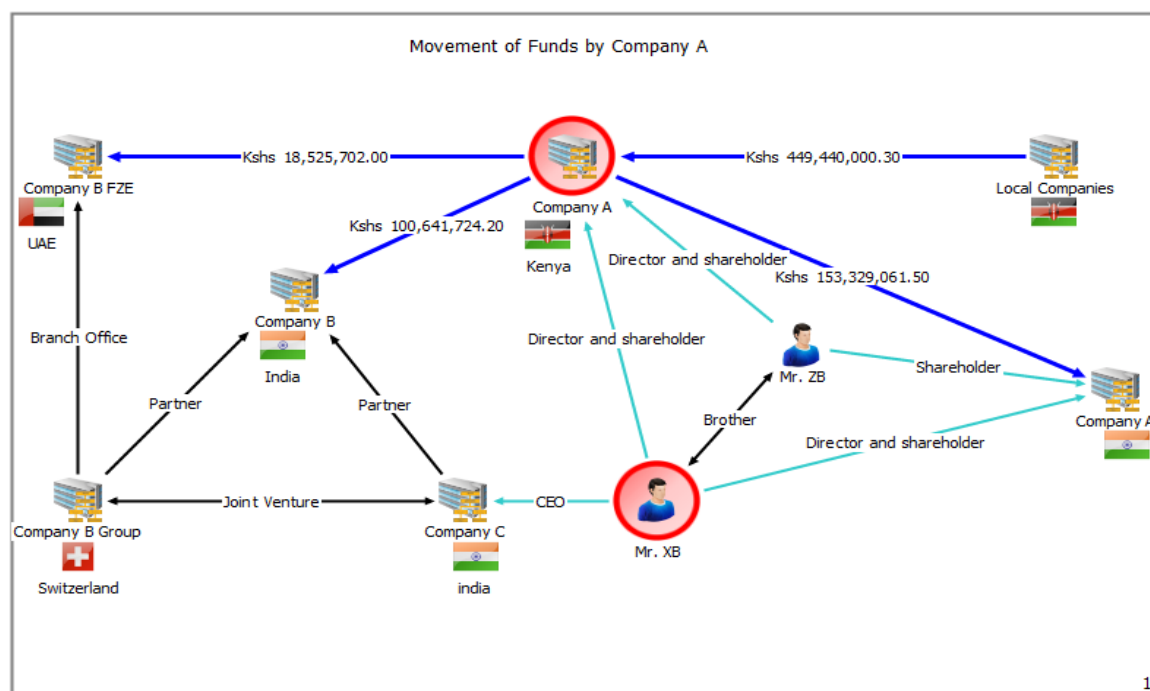
- **Over-invoicing:** The exporter submits an inflated invoice to the importer, generating a payment that exceeds the value of the shipped goods. Greater value is transferred from the importer to the exporter. The critical enabling aspect is that the importer and exporter are complicit in the misrepresentation.
- **Under-invoicing:** The exporter submits a deflated invoice to the importer, shipping goods with greater value and transferring that value to the importer.
- **Multiple-invoicing:** The exporter invoices multiple times for the same shipment, transferring greater value from the importer to the exporter. Alternatively, it focuses on reusing existing documentation to justify making multiple payments for the same shipment of goods or delivery of services.
- **Over- or under-shipment:** The exporter delivers more goods than initially agreed upon with the importer, resulting in a higher value for the importer. On the other hand, if the exporter ships fewer goods than agreed, the exporter gains a greater value.
- **Misrepresentation of quality:** Goods shipped to importers are misrepresented on official documentation as being of a higher quality thereby transferring greater value to the exporter.

Further elaboration of TBML indicators is presented in **appendix 1**.

Case 5: TBML through mis-invoicing

Mr. XB and Mr. ZB, through their related companies imported assorted machinery from related companies in India and Dubai into local markets. Between May 2016 and April 2021, Company A (Kenya) received a total of Kshs. 449,440,000.30 from local companies. The funds were aggregated and a total of Kshs 303,947,499.60 transferred to related companies; Company A (India), Company B (India), Company B (Free Zone Establishment) Dubai and other foreign companies as payments for importation of machinery. Company A's (Kenya) bank accounts indicate that no monies are retained as most of the funds received are wired out to the related entities.

The supporting documents contained discrepancies in amounts and dates. In some instances, payments were done after importation of the machines and the amounts declared on the invoices and Import Declaration Forms (IDFs) did not match the exact transactional amounts. Some of the invoices appeared forged with superimposed letterheads of related entities on them and some invoices supported multiple transactions. This is summarized in the chart below.



Red-flags

- Newly-formed trading entities that engage in high volume or high value trades.
- Trading entities with names that mimic more-established competitors, and which may be attempts to appear affiliated with those competitors.
- Inconsistencies or discrepancies across trade documents such as proforma and commercial invoices, and import declaration forms (IDF).
- Trade documents with only vague or very general references to the commodities being transported.
- Missing, counterfeit, or falsified supporting documents.

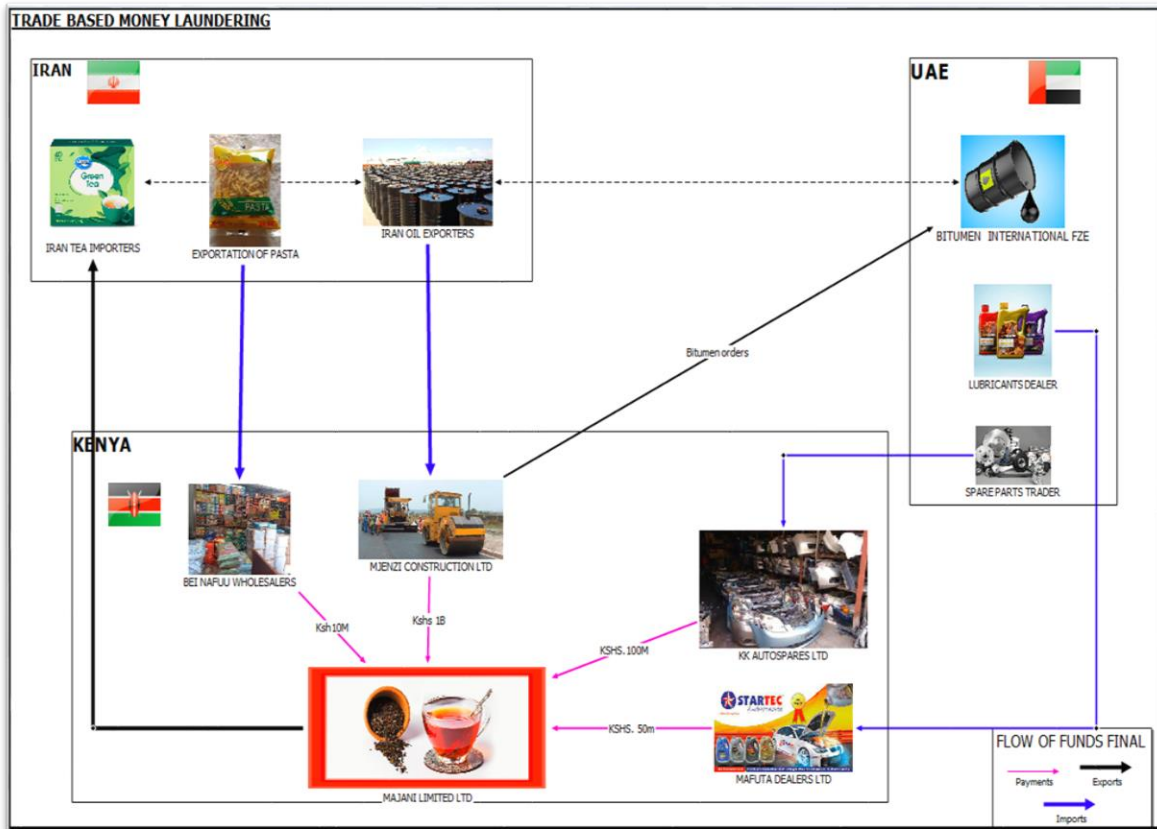
- *Accounts receiving high volumes or deposits that are immediately transferred to other accounts, and that are left with a small end-of-day balance.*
- *Transfer of profits to related companies.*
- *Forgery of supporting documents.*
- *Shipments that are routed through numerous jurisdictions with no economic or commercial justification.*

Case 6: TBML through fake invoicing

Majani Limited is a local company and a licensed tea exporter. The business purchases processed black tea from the regional auction and does value addition before exporting to different jurisdictions. Among the jurisdictions it trades with include, Iran, United Arabs Emirates, Egypt and Pakistan. Despite the company being in export business, all its payments were local cash deposits, both in foreign and local currency cash as well as transfers from locally based companies.

Between January 2018 and December 2023, the company accounts cumulatively received, Kshs. 2,877,175,334 from multiple sources. These were both cash transfers and deposits. A review of the depositors, showed they were locally based companies dealing in lubricants and bitumen. These were unrelated to the known commodity of trade. Invoices generated by Majani Limited to these companies were vague describing non defined supplies.

One of the major Depositors was Mjengo Limited, a road construction company which has its headquarters in Tehran, Iran. Other depositors were wholesalers who dealt in lubricants from UAE. The case is summarized in the chart below.



Indicators/red flags

- Newly-formed trading entities that engage in high volume or high value trades.
- Trading entities with names that mimic more-established competitors, and which may be attempts to appear affiliated with those competitors.
- Inconsistencies or discrepancies across trade documents such as proforma and commercial invoices, and import declaration forms (IDF).
- Trade documents with only vague or very general references to the commodities being transported.
- Missing, counterfeit, or falsified supporting documents.
- Accounts receiving high volumes or deposits that are immediately transferred to other accounts, and that are left with a small end-of-day balance.
- Transfer of profits to related companies.
- Forgery of supporting documents.
- Shipments that are routed through numerous jurisdictions with no economic or commercial justification.
- Loan agreements indicating employee lending its employer.

2.2.2 Tax Fraud

Tax fraud involves the deliberate attempt to illegally obtain a tax benefit by falsifying or misrepresenting information to reduce the amount of taxes owed to government. This has been globally achieved through various means including manifest fraud, invoice fraud, fake payment of import taxes, diversion/dumping of transit goods, custom mis-declarations, smuggling, Fraudulent cancellation of export entries, Import/Export of prohibited or restricted goods, Nil/Non-Filing of Income Tax Returns, under declaration of income, dealing with excisable goods without a license and use of Fake Security Bonds to Clear Transit Goods. Further tax fraud indicators and techniques are presented in **appendix 2**.

Case 7: Tax fraud through Missing Trader Scheme

Three related construction companies 25DF Company Ltd, 78HJ Company Ltd and 36WN Company Ltd inflated their operating costs to reduce taxable income using fifteen local companies linked to Mr. ZA, his wife Ms. XA, Mr. WZ and Mr. UB as special purpose vehicles to siphon off funds intended for government projects. These fifteen entities self-generated fictitious invoices and partial agreements to support the supply of construction materials, despite no actual deliveries being made.

Between April 2018 and December 2023, the personal and company accounts linked to Mr. ZA, his wife Ms. XA, Mr. WZ and Mr. UB received a total of Kshs. 3,565,455,899.00 from the construction companies through cash, account and wire transfers. Despite providing agreements for infrastructure projects and material supplies as support documents, the amounts stated in the contracts were less than the actual amounts transferred to the companies, raising suspicion of fraud. The funds were distributed to seven companies suspected to be part of the siphoning scheme while the balance was transferred to other companies, related accounts and withdrawn as cash. The transfers were unsupported, pointing to the likelihood that the seven companies were used to disguise the illicit movement of funds to appear as legitimate payments for supply of construction materials while no actual delivery was made. Also, there was suspicion of integration and round tripping of the funds received from the said companies by account transfers to related local company accounts in order to inflate sales thus evade taxes and disguise the source of the funds.

Indicators/Red flags

- *Self-incriminating disclosures related to creating fictitious documents for account transactions.*
- *Use of multiple companies to disguise the flow of funds.*
- *Frequent cash deposits just below reporting thresholds.*
- *Transfers exceeding the amounts specified in agreements.*
- *Funds disguised as payments for materials, inflating operating costs.*
- *Large cash withdrawals on a regular basis.*

- *Round-tripping of funds through related company accounts to inflate sales and obscure the funds' origin.*
- *Single individuals controlling multiple companies as directors.*
- *Young individuals used as directors to conceal true ownership.*
- *Existing companies being misused to disguise operations.*
- *Newly-formed entities engaging in high-value or high-volume trades.*
- *Rapid repayment of loans within a short period.*
- *Trading entities without an online presence.*
- *Missing, counterfeit, or falsified trade documents.*
- *High volumes of transactions inconsistent with business activity or turnover.*
- *Accounts receiving large deposits, quickly transferring funds to other accounts, leaving little end-of-day balances with no clear business reason.*

Case 8: Non-filing of VAT

Taxpayer JJ, a former constituency development fund employee, is a non-filer for VAT despite being registered for VAT obligation and dealing with VATable goods and conducting a construction works in his constituency and Roads projects. Analysis of the tax returns declared by the taxpayer on iTax, reveals that the taxpayer conducted business worth Kshs. 28,535,102. This was in exclusion of farming income which is not VATable. Further assumption drawn was that the taxpayer dealing with construction materials while conducting road construction and repair work, he ought to have declared the VAT returns and pay the taxes thereon if any. The un-declared VAT turnover amounted to Kshs. 36,898,402, an assumption of 40% as an input VAT was allowed. Further an estimated vatable amount of Kshs. 19,871,642 was established. This translated to an estimated VAT amount of Kshs. 3,134,115 upon subjecting the estimated Vatable value to respective VAT rates i.e. 16% and 14%.

Indicators/Red flags

- *Non-declaration of VAT returns*

2.3 Fraud and forgery

The Centre disseminated more than 100 reports involving fraud and forgery within the period under review. These ranged from the instances of fraud and forgery in public procurement and tax evasion cases as discussed in the previous sections to complex Ponzi schemes. The schemes mostly involved criminal elements enticing the victims to participate in trades offering quick returns and extra returns if they refer more members to the platform. At the onset of these schemes, members receive part of promised returns which are actually paid for by the new investors they recruit. This incentivizes them to pump more investments hoping for more returns which are eventually swindled. Another prevalent form of fraud is through gold scams

or fake gold fraud. This is a prevalent scheme where launderers target traders in foreign jurisdictions with a promise of a deal to supply gold and other precious metal consignments. Geographically, Kenya acts as a transit jurisdiction for the landlocked precious metal producing countries within the Eastern African region. Money launderers exploit this in the pretext of being licensed exporters.

Case 9: Fraud through Ponzi schemes

An individual set up 5 companies in Kenya. He was engaged in a marketing campaign for lease of greenhouses, promising returns of **340%** over three years for investments of Kshs. 380,000.00. He also partnered with a real estate company for purposes of investors channelling their greenhouse returns towards purchase of homes discounted at 15%. The investors were also required to market the product to earn more returns. None of the investors was given a legal document towards ownership of the greenhouses.

Bank accounts operated by individual received funds totalling to Ksh 1.4 billion deposited and transferred by multiple individuals who were “investors” in the scheme. The funds were utilized through immediate cash withdrawal. The initial investors who deposited funds at the start received returns, however subsequent investors did not get any returns. The cheques issued as payment the return of investment were dishonoured. As at the time of the investigation, the accounts operated by the individual had 283 dishonoured cheques.

Indicators/red flags

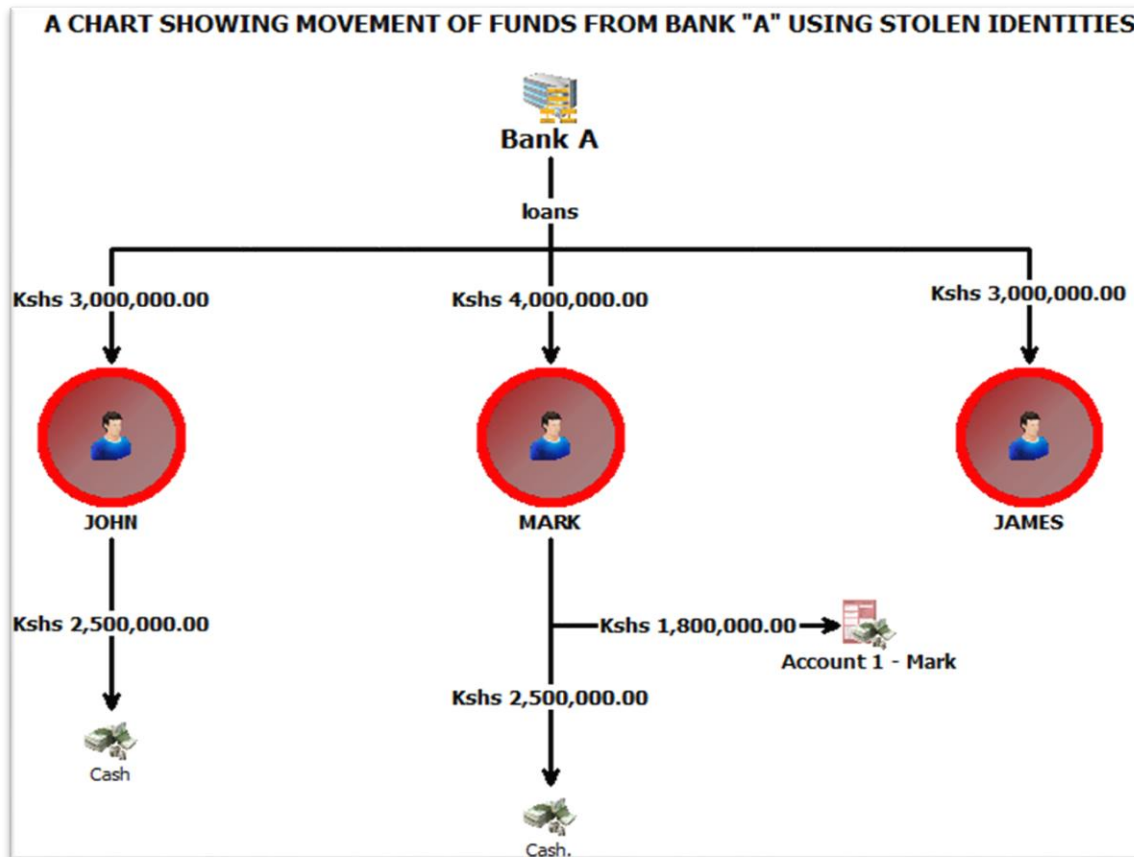
- *The promise of unrealistically high, quick returns on investment.*
- *Investors required to recruit more members to get returns.*
- *Investment scheme not registered with regulators.*
- *Bank account characterized by multiple cash deposits in similar amounts*
- *Unexplained source of money.*
- *Perpetrators often explain an elusive, unclear, and sophisticated plot to generate huge profits.*

Case 10: Loan Fraud

3 individuals were suspected of loan fraud where they fraudulently opened bank accounts with stolen credentials of other people – employees of a government entity. The individuals provided forged identification documents, payslips and appointments letters of the victims at the bank and the accounts were opened.

Between 5/04/2022 and 31/10/2022, **John, Mark and James** obtained a total of Kshs 10,000,000.00 through fraudulent loans using forged identification documents, payslips and appointments letters in the names of; Mike, Mary and Maina from 3 financial institutions. They immediately requested loans at the bank which were approved and disbursed. Here, they provided stolen payslips of their victims as support for the loans and as collateral. The

amounts were further utilized through transfers to mobile numbers they operated and some withdrawn in cash. The victims of this fraud realized deductions on their payslips and raised complaints with their employers which prompted the bank to review these accounts and report to law enforcement agencies.



Red Flags

- Use of forged identification documents to open bank accounts
- Use of stolen payslips and forged appointment letters to access credit facilities

Case 11: Loan Fraud

Two individuals opened corporate bank accounts using names mirroring government institutions and other corporate entities and used these to access loans from financial institutions.

Individual F operated an account at **Bank ZZ** with declared occupation as a physician at the Ministry of Wildlife. Between May 2021 and August 2022 (16months), she received monthly remittances totalling Kshs 4,000,000.00 from an account named **MinWildlife** from **Bank JJ**.

In September 2022, Individual F applied for a loan of Kshs 5,000,000.00 from Bank ZZ which was approved and disbursed. She provided forged payslips and a forged letter of

appointment from the Ministry of Wildlife. The funds were utilized through rapid transfers to a mobile number operated by **Individual G** below.

Individual G operated an account at **Bank GH** with declared occupation as an administrator. In July 2022, the account received Kshs 200,000.00 from **Bank VW** which was narrated as salary from an entity named Cons Edge Solutions. A review on open sources indicated that there existed a company called Consulting Edge Solutions. **Individual G** applied for an unsecured loan of Kshs 5,000,000.00 from Bank GH which was approved and disbursed. Analysis later revealed that individual G was actually a teacher employed by the Teachers Service Commission. The funds were utilized through rapid mobile money transfers to **Individual F**.

Red Flags

- *Use of forged payslips and appointment letters to show evidence of employment in other entities*
- *Registering entities with similar names to already existing institutions*

Case 12: Pension Fraud

Individual A and an unidentified person **Individual Y (who is suspected to have impersonated Individual B)** pretending to be a retired officer of agency **X** were suspected of impersonation and defrauding a pension authority. Between 2022 and 2024, **A** and **B** received a total of Kshs. 13,000,000.00 from the pension authority. The payments were supported by suspected forged copies of letters of award addressed to **A** and **B**. These letters though from the same pensions agency had different letterheads.

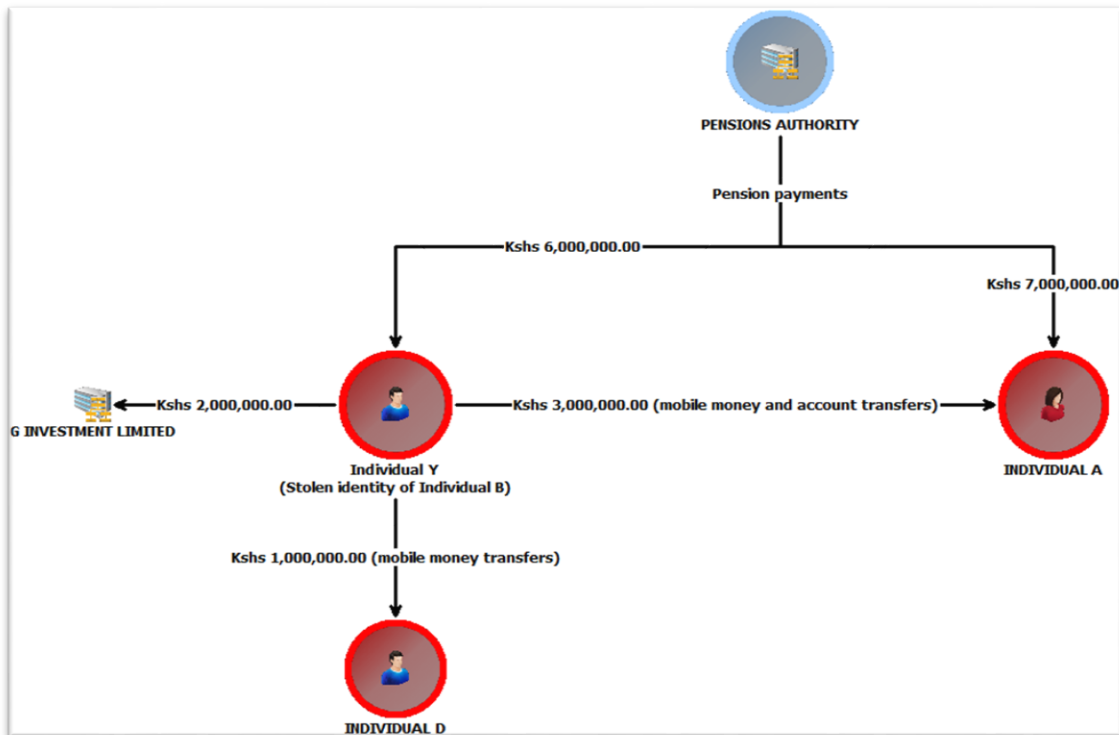
The documents showed the date of employment of **Individual A** as 1983 while her date of birth was 1975 from her identification documents, pointing to a scenario that she was employed in the civil service when she was a minor – 8yrs old. Further, at the time of receiving the pension, she was 48yrs old, which was under the qualifying age to receive pension payments.

The receiving account of **Individual Y** was opened using the stolen identity of **B** but the photo on the ID was different from the photo taken at the bank during account opening, showing probable impersonation of **B**. Further, **Individual Y** alleged that the mobile number that received most of the funds from his account belonged to his wife. Analysis however showed that the mobile number was subscribed and transacted by a male **Individual D** who was not his wife. However, it was also noted that the same mobile number was also registered under **B's** name. This was noted to be irregular and under investigation by the mobile provider. It was concluded that **A** and **D** were likely perpetrators of the fraud.

The funds were utilized through structured transfers to purchase a motor vehicle, houses and transfers to third parties and mobile wallets with some belonging to betting companies. Most of the pension payments to **Y** were transferred to **A**, probable pointer that **A** was a major

beneficiary (and conspirator) of the fraudulently obtained funds from the pension authority and a company G Investment limited that deals in sale of apartments. The case is summarised in the chart below.

Chart



Red Flags/Indicators

- Receipt of salary payment from an agency where no employment records are held
- Receipt of pension remittance without attainment of retirement age
- Support documents indicating employee was below working age
- Unknown individuals obtained money through impersonation of a pensioner
- Receipt of funds through mobile number registered under two individuals
- Payments purported to be proceeds from car sale without prior history of car ownership

Case 13: Fake Gold Fraud

Individual 1, a politically exposed person and the director of five companies A, B, C, D, and E was found to be involved in gold scam transactions, together with the partner of law firm, XYZ Associates. The transactions involved receipt of funds from unsuspecting foreign nationals through accounts of the entities and the law firm. A profile of the companies revealed their nature of business was as follows;

- Company A and D - Deals in the export, import and sale of precious metals. However, the companies do not hold a Mineral Dealer's Trading License.
- Company B – Deals in cargo lifting and freight services;
- Company C – Offers Air charter services;
- Company E – Private and business safe deposits and courier services.

Further Company B, C and D were adversely mentioned on credible websites to be among fake private jet companies in Kenya involved in gold scam transactions by defrauding unsuspecting buyers through requesting for advance shipping fee payment.

Between 2019 and 2023, the entity and law firm accounts received USD 1,875,383.05 suspicious payments from foreign entities and individuals as sampled below;

USD 172,216.00 – Individual T, an Australian national transferred USD 172,216.00 to the accounts of XYZ Associates being payment for purchase of gold. The transfers were supported by an escrow agreement appointing XYZ Associates as the escrow agent to hold the funds on behalf of Individual T and, only release the funds upon their instructions. The contract was not signed by either parties or notarized by an advocate. Additionally, an Invoice from Company E to Individual T for USD 98,420.00 being payment for storage of valuable ceramics.

USD 712,267.22 – The personal accounts of Individual 1 and company accounts of A and B received transfers of USD 712,267.22 from Z limited based in Hong Kong and Individual 2, a representative of Z Limited.

USD 224,197.00 – The accounts of Company A and B received transfer of USD 224,197.00 from Individual 5, a south African national described as loan disbursements. Some of the transfers were supported by a logistic funding agreement between Company A, dealer in precious metals and Individual 5, whereby Company A would act as an escrow agent and source for undisclosed goods for Individual 5.

The transactions were part of gold scam transaction involving Individual 1 together with Individual 6, a Kenyan national who are accused of defrauding Individual 5 Kshs 21 Million. Individual 5 was purchasing gold from Individual 1 through his entity, Company A. Company A would ship the gold from Kenya to Dubai through air charter services provided by Company B. The case is still pending in court.

USD 83,458.00 – The accounts of Company E received a transfer of USD 83,458.00 from Individual 7, a Ugandan National being payment for storage fees. The transaction was part of a scam involving Individual 7, an unknown Individual 8 and Company E for the transportation of foreign currency of USD 500 Million that was stored at Company E's warehouse in Kenya. To pay for storage fees, Individual 7 had transferred USD 350,000.00 to Individual 8 who in return failed to clear the fees and scammed him off his money. Thereafter, Individual 7 wired USD 83,500.00 to Company E for payment of storage fees. On realizing no goods were forthcoming, he lodged a fraud and money laundering complaint with CID, Uganda. The details of the financial transaction to company E were shared with Financial Intelligence Authority, Uganda.

The suspicious transfers received were utilized through immediate cash withdrawals by Individual 1, contrary to the expected utilization to purchase gold and facilitate transportation.

Individual 1 was involved in fraud and money laundering through gold scam transactions. The transactions involved defrauding unsuspecting foreign national in the pretence of supplying and transporting precious stones. XYZ Associates, as an enabler of money laundering plays the key roles of receipt of funds and drafting of support documents. The transactions involved companies that claimed to be dealing in precious metals and stones yet they do not hold the requisite dealers license. Further, the gold sale transactions are not sufficiently supported with most missing the quantity of gold, source of gold, identity of mining company, destination of gold and gold certificate.

Red Flags

- *Abuse of legal firms that were in facilitating receipt of funds and drafting of support documents*
- *Fabrication of documents to support the transactions*
- *Incomplete documentation for gold sale transactions*
- *Vulnerabilities of cross-border payments*
- *Abuse/exploitation of precious metal sector which is largely unregulated in Kenya*
- *Operating precious metal dealerships without required licenses*
- *Support documents lacking key information such as quantity of gold, identity of mining company, destination of gold and gold certificate.*
- *Incoming remittances purported to be loans and investments being wired to lawyer client accounts.*
- *Agreement which involves fictitious entities which are not registered with the govt. In some instances, the entities maybe genuine but they are shell companies owned by the fraudsters.*
- *Remittances to advocate accounts that are withdrawn in cash as opposed to the beneficiaries.*
- *Lawyers presenting blank and unsigned contract documents which are purported to support the payments.*
- *Immediate distribution of the funds to related accounts.*
- *Adverse and verifiable media mentions.*

2.4 Abuse of Virtual Assets for Money Laundering

Virtual assets are increasingly being exploited for criminal activities such as money laundering, drug trafficking, fraud, cybercrimes, child exploitation, human trafficking, tax evasion, sanctions evasion, and terrorism financing. The most common misuse involves drug trafficking, followed by fraud, scams, ransomware, and extortion. The ML/TF indicators for virtual assets are based on the transactions, transaction patterns, anonymity, profile of senders

or recipients, source of funds and the geographical risks. These are further elaborated in **appendix 3**.

Locally, the most prevalent offence in relation to virtual assets is virtual asset scams. These include cloud mining scams, fake crypto exchanges and trading platforms, phishing attacks and impersonation scams, fake ICOs and pump and dump schemes. These have mainly utilized social media platforms like Telegram, Facebook, WhatsApp, and YouTube, using professional videos to legitimize fraud. There have also been several incidences where criminals have set up legitimate looking websites and platforms to lure unsuspecting victims to channel funds through the platforms.

Case 14: Abuse of VAs for ML

VASP 1 based in Malta received suspected laundered funds from twelve (12) Kenyan nationals. The source of the funds was unknown and no documentation was provided to support the transactions. All the twelve Kenyans opened trading accounts with VASP 1 around the same time between May and June 2022, and are of ages between 20 and 23 years old.

Between May 2022 and March 2023, the twelve subjects used a total of Kshs. 55,713,345.59 to purchase USDC token at VASP 1. All activities across all the 12 accounts were identical, i.e. purchase of USDC and immediately withdrawing at one external withdrawal address at VASP 2. The subjects were requested by VASP1 to provide information about the purpose of the transactions and proof of ownership; however, all subjects were uncooperative and failed to provide such information from their end, and instead withdrew all the remaining USDC token to one similar address.

Further, there were no other activities or actual usage of the accounts. Analysis of bank accounts of the 12 individuals showed their accounts were funded by one subject and a trend was observed where, each time their banks were funded, the funds were used in purchasing of USDC Token. The banks accounts of the 12 individuals had no other activities. The account transactions raised the suspicion that the 12 individuals were used as money mules as they all transferred all the USDC token to a single deposit address.

Indicators/Red flags

- *Unknown source of the funds*
- *No documentation provided to support the transactions*
- *Undisclosed purpose of the transactions and proof of ownership*

Case 15: Crypto pyramid scheme

Four individuals used XYZ Limited to obtain funds by false pretence through a crypto pyramid scheme. The individuals used social accounts like Facebook to dupe the members of the public into investing in non-existent bitcoin mining machines that could yield daily income for the investors. The investors were promised high returns which was contrary to the concept of cryptocurrency mining where there is no investment of money in hardware machines. To gain trust of investors only the early investors were compensated, while a majority were never compensated.

In order to join the scheme, the members of public were required to pay an entry/registration fee through mobile money accounts registered using stolen identification cards. Within 18 months, the suspects received a total of Kshs. 149,492,512.43. The funds were subsequently withdrawn and transferred to bank accounts held by the four suspects.

Indicators/red flags

- *Overemphasis on referral commissions and inconsistent payout timelines.*
- *Blocking of users on attempt to withdraw funds.*
- *Platforms promising unreasonably high returns.*
- *Platforms tricking victims into entering their private keys, seed phrases, or login credentials, giving scammers direct access to their wallets and digital funds.*
- *Vague or plagiarized whitepapers.*
- *Receiving unexpected communications, such as emails, messages, or social media posts, promoting a particular stock or cryptocurrency.*
- *Sudden spikes in trading volume or price without similar market trends pointing to market manipulation.*

2.5 Cybercrime

The Centre has analysed cases of cybercrime ranging from those aided by identity theft to complex cases involving altering of card systems by fraudulent service providers. Globally, cybercrime cases have also been on the rise with the rapidly digitized financial sector in Africa opening up an opportunity for the criminal elements, consequently posing a significant ML threat. The major elements globally have been information extraction especially through phishing, social deception or engineering and utilization of online medium or platforms for communication and or trading in instances of fraudulent trading platforms.

In the wake of rising ransomware cases, cybercriminals have been observed to utilize virtual currencies to move their illicitly acquired proceeds. Some of the red flags associated with cybercrime include:

- i. Information extraction (e.g., through phishing);
- ii. Social deception or engineering, and preying on vulnerable emotions
- iii. Several charge backs in merchant accounts indicating possible card fraud.
- iv. Rapid movement of funds to merchant accounts with no support documents
- v. Utilization of funds in purchase of crypto assets especially stable coins.
- vi. Use of multiple crypto exchanges to purchase assets.
- vii. Rapid transfer of crypto assets to a common address.

Case 16: Cybercrime perpetrated by a service provider

XYZ Bank, a commercial bank contracted 3 merchants to install and maintain a 3D Secure integration system for cardholders. The security system was supposed to be 3D secure with a feature of issuing One Time Pin (OTP) authentication code to the card holders for transaction authentication. The Contractors altered the process by downgrading the system to a 2D secure which did not need to issue OTP codes. The contractors thereafter initiated customer wallets which required no customer authentication. Through this scheme, a total of USD 4million was stolen from the customer wallets. The funds were diverted and settled into account of one of the contractors in JKA bank. Thereafter, the funds were utilized through the purchase of USDT (Tether) in different crypto exchanges. They were then transferred to a common USDT address.

Indicators/Red flags

- *Rapid movement of funds to merchant accounts with no support documents*
- *Rapid transfer of crypto assets to a common address.*
- *Utilization of funds in purchase of crypto assets especially stable coins.*
- *Use of multiple crypto exchanges to purchase assets.*

2.6 Laundering of narcotic drugs and psychotropic substances proceeds

Criminal elements have been observed to apply different laundering techniques in a bid to conceal the proceeds of drug trafficking. This has been mostly through abuse of financial products and investment in different sectors of the economy including real estate and purchase of luxury cars either directly or through use of proxies. The bank accounts exploited are mainly characterized by unexplained cash deposits from different sources, which are eventually withdrawn or transferred for purchase of assets. Some of the red flags associated with drug trafficking include:

- i. Numerous unexplained cash deposits from different sources

- ii. Accumulation of deposits and inward transfers and eventual withdrawal or transfer to related parties
- iii. New bank accounts experiencing noticeable and sudden surge in deposit and withdrawal activities over a short period
- iv. Account activities not matching the declared source of income
- v. Client insistence on purchasing property in cash
- vi. Client opening a bank account for salary transfer with no salary credits identified in the account
- vii. An individual or a group of individuals conducting multiple foreign currency exchange transactions with a foreign exchange service provider

Case 17: Laundering of proceeds of drug trafficking

A multi-agency team investigating person X who was charged for drug trafficking uncovered a laundering scheme in which the subject moved the ill-gotten proceeds through the financial systems and eventually invested in real estate and luxury cars directly and through proxies and mules. The team discovered more than Kshs. 10,000,000 in cash, three high end vehicles, an apartment and more than 9 parcels of land. Within the investigation period, X transferred a bulk of the properties to associates, close relatives and allies to distance themselves from the proceeds and disrupt the recovery process.

Status:

The authorities managed to successfully seize and recover the cash while efforts are underway to recover the property.

Indicators/Red flags

- *Purchase of property through proxies.*
- *Client insistence on purchasing property in cash*
- *Unexplained wealth*

2.7 Human smuggling and trafficking

The Centre has observed increased cases of human smuggling & trafficking whereby Kenyan citizens and nationals from neighboring countries are smuggled or trafficked to other countries mostly Thailand, Myanmar, South Africa and Nepal and smuggled through jurisdictions such as Saudi Arabia, India, UAE and Qatar. The recruitment is mostly done through the use of social media platforms, fraudulent recruitment agencies, exploitation of children homes and misuse of charitable trusts. The red flags associated with human smuggling and trafficking include:

- i. Transfer of money to suspects in structured amounts and failure to declare cash at points of entry e.g. airport
- ii. Channeling money from international humanitarian organization to personal accounts
- iii. Loan to sister companies to cover operational cost
- iv. Channeling of commission as facilitation fees to accounts/cash
- v. Absence of Employment contracts
- vi. Recruitment agencies utilizing funds to purchase tourist visas
- vii. Transactions being done from same agent locations
- viii. Almost similar amounts being moved in all transactions
- ix. Funds coming through money remittance systems received from diverse jurisdictions.
- x. No clear documents on the purpose of funds
- xi. Funds aggregated in bank accounts and rapidly withdrawn.
- xii. Funds of similar amounts remitted in batches

Case 18: Recruitment agencies and human smuggling

A recruitment agency in Kenya advertised data entry and customer service job opportunities in the Republic of Thailand with prospects of monthly salary of between Kshs. 120,000 to 200,000 per month. The agent demanded commission and Visa processing fee of between Kshs. 100,000 and 300,000 monies that were paid to respective bank accounts domiciled here in Kenya. The clients/victims would pay air tickets fee and in Thailand they would be received by unidentified persons. While in Thailand, the syndicate of Human Trafficking would smuggle these victims to Myanmar and Laos. While at these countries, the victims are informed of their obligation to refund the money paid for their facilitation, thereby forcing them into cyber-crimes/prostitution without payment. Further investigations revealed that many victims gain entry through tourist visas and most victims do not have employment contracts with their hosts.

Indicators/Red flags

- *Recruitment agencies utilizing funds to purchase tourist visas*
- *No clear documents on the purpose of funds*
- *Absence of Employment contracts*

2.8 Abuse of Legal professional services for money laundering and terrorism financing

Legal professionals are at risk of being exploited for money laundering (ML) and terrorist financing (TF), as noted by the Financial Action Task Force (FATF). Criminals may hire

lawyers to leverage their expertise in specific transactions, access specialized legal skills, and create a facade of legitimacy for illegal activities. These criminal activities involve abusing legitimate services to conceal the origin of illicit funds or facilitate the movement of criminal proceeds. Key lawyer services commonly exploited for ML/TF include:

- **Misuse of Client Accounts:** Criminals may use lawyers' client accounts to funnel illicit funds into the financial system, obscure their origins, and structure payments to avoid detection.
- **Property Purchases:** Criminals often use legal professionals to purchase real estate with illicit funds, hiding ownership through companies or trusts, or transferring value via back-to-back sales.
- **Creation of Companies and Trusts:** Legal professionals may be asked to create companies and trusts to conceal the ownership and control of criminal assets, sometimes across different jurisdictions.
- **Management of Companies and Trusts:** Legal professionals may be involved in managing these structures to lend legitimacy, such as acting as trustees or nominee directors to hide the true owners.
- **Managing Client Affairs and Introductions:** Lawyers may manage client affairs (e.g., opening bank accounts) or introduce criminals to other professionals who can help with laundering activities.
- **Other Methods:** Criminals may exploit legal expertise for purposes like preparing powers of attorney to dispose of assets, or by using criminal proceeds to pay for legal fees and related expenses.

The ML/TF indicators for legal professions are centred on the nature of the client, nature of the retainer, transaction patterns, choice of lawyer and the source of funds. An in-depth elaboration of each of the indicator headers in **appendix 4**.

2.9 Accountants & Trust and Company Services Providers (TCSPs)

Accountants & Trust and Company Services Providers (TCSPs) can be abused for money laundering (ML) and terrorism financing (TF) through various techniques, often exploiting the services they provide and their access to financial systems and information. Trust and Company Service Providers refers to all persons or businesses that are not covered elsewhere in the FATF Recommendations and which, as a business, provide any of the following services to third parties:

- i. Acting as a formation agent of legal persons.
- ii. Acting as (or arranging for another person to act as) a director or secretary of a company, a partner of a partnership, or a similar position in relation to other legal persons.
- iii. Providing a registered office, business address or accommodation, correspondence or administrative address for a company, a partnership or any other legal person or arrangement.
- iv. Acting as (or arranging for another person to act as) a trustee of an express trust or performing the equivalent function for another form of legal arrangement.
- v. Acting as (or arranging for another person to act as) a nominee shareholder for another person.

Therefore, while accountants are a key group offering trust and company services, the definition of TCSPs can also include other professions and businesses that carry out these activities. This means that financial institutions and legal professionals, among others, can meet the definition of a TCSP if they perform the services listed above.

Overall, the legally required and often complex services provided by TCSPs, particularly in the formation and management of legal entities and the handling of financial transactions, create vulnerabilities that can be exploited by those seeking to launder the proceeds of crime or finance terrorist activities. The ability to obscure beneficial ownership and create layers of complexity is a key factor in this abuse.

The ML/TF indicators for accountants and TCSPs are centred on the country and geographical risks, suspicious behaviours, transaction, service and delivery channel risks and client risks. The indicators under each of these foundations are enumerated in **appendix 5**.

CHAPTER 4

TERRORISM FINANCING

Terrorism financing involves acts of providing financial support to terrorist persons and organizations to enable them advance terrorist acts or to benefit any terrorist person or organization. Terrorist financing (TF) involves the collection, movement, and use of funds to support terrorist activities. Terrorists often exploit weaknesses in financial systems to launder money and obscure the origins and destinations of their funds.

3.1 Terrorism Financing Cycle

Figure 8: Terrorism Financing Cycle



3.2 Case studies and typologies on Terrorist Financing

The Centre analysed and disseminated more than 20 TF related cases between 2023 and 2024. The selected case studies below cover a range of typologies and showcase the diverse strategies employed by terrorist groups to generate and move funds within Kenya's financial system as established from the analysed cases.

Case 1: Transfers by Islamic State network in East Africa through Heeryo Enterprises

Heeryo Enterprises case

In the case of this network, which operated from 2019 to late 2020, money was sent through Hawala networks under the support of Heeryo Trading Enterprise registered in Johannesburg and with operations in Mogadishu. Heeryo facilitated the movement of hundreds of thousands of dollars from Somalia to South Africa, as well as transfers from South Africa to Kenya for further distribution. Facilitators in Kenya either directly disbursed the funds or, on instructions from Heeryo's manager in Johannesburg, sent them to other money transfer offices where recipients withdrew them. Funds were also sent through a variety of regional money remittances providers, some of which have branches throughout East Africa, the Middle East, and various Western countries. Between 2019 and 2020, the network transferred over \$400,000 to two Da'esh operatives based in Johannesburg, South Africa, then part of the funds, almost \$134,000 to Kenya, from where they were redirected to Uganda, the United Republic of Tanzania and Mozambique. At least \$60,000 of the \$400,000 originally transferred from Da'esh in Somalia was received by known ADF collaborators in Uganda¹.

Movement of funds

- a. Informal money transfer systems (hawala)
- b. Money remittance providers
- c. Cash couriers
- d. Mobile money

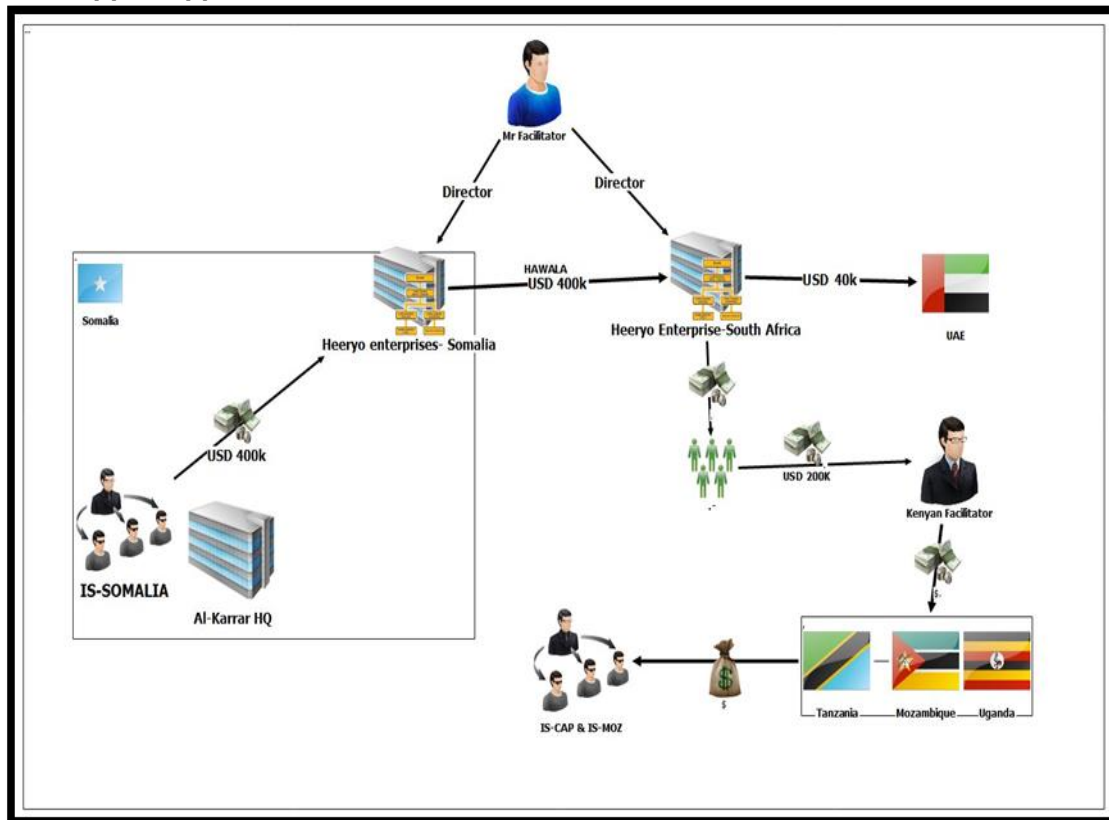
Red flags/Indicators

- *Multiple transfers made by several people to the same beneficiary or related persons.*
- *Receipt of funds over a short period of time of low amounts that together represent a large sum of money.*
- *No relationship between sender and beneficiary.*
- *Funds received from high-risk jurisdictions without reasonable explanation, which are not consistent with the customer's usual foreign business dealings*
- *Sudden increases in the frequency or value of transactions of a particular customer without reasonable explanation.*
- *Sudden inflow of funds through money remittance companies followed by immediate cash withdrawals.*
- *Amount received in structured amounts and through different money remittance companies to avoid detection and conceal the ultimate beneficiary and purpose of the funds.*
- *The use of straw men or money mules, where individuals receive funds on behalf of criminal or criminal organization receiving some form of remuneration in return.*

¹ <https://extremism.gwu.edu/sites/g/files/zaxdzs5746/files/2023-06/fatal-transaction-final.pdf>

- Mismatch between the economic activity, country of origin, or person and the money remittances received.
- False information and use of forged identity documents during the identification procedure.
- Non-face-to-face customers are not physically present for identification purposes.
- The customer appears to be in doubt when asked for further details about purpose of funds.
- The customer gives a rather detailed explanation that appears to be rehearsed concerning the purpose of remittance

Chart of flow of funds



Case 2: Financing of the botched Merti Vehicle-Borne Improvised Explosive Device (VBIED) plot

The botched Merti VBIED plot

In the foiled 2018 plot², a vehicle had been converted into a vehicle-borne improvised explosive device (VBIED) with assorted weapons i.e. assault rifles, magazines, grenades and Al-Shabab-related material including a black flag. The individuals involved received funds via two MVTs funds transfers, totalling \$15,000 from Kismayo. The funds were used to purchase two vehicles worth about KES 2,100,000. \$9,500 was used to pay an arms smuggler for the acquisition and smuggling of the weapons. The funds also catered for costs of hiring a driver, rent expenses of KES 16,000 per month, procurement of fake IDs,

² <https://digitallibrary.un.org/record/1652108?ln=en>

purchase of air tickets worth KES 12,000 via mobile money and other logistical expenses. The operation cost Al-Shabaab less than \$50,000 up to the point that it was disrupted by the National Police Service.

Movement of funds

- a. Informal money transfers systems (hawala)
- b. Money remittance providers
- c. Cash
- d. Mobile money

Usage of funds

- a. Purchase and smuggling of weapons
- b. Purchase of motor vehicles
- c. Facilitation of travel
- d. Procurement of fake IDs
- e. Payment of rent expenses

Red flags/Indicators

- *Registration of mobile SIM cards with fake IDs for mobile transactions*
- *False information and use of forged identity documents during the identification procedure for money remittances*
- *Amount received in structured amounts and through different money remittance companies to avoid detection and conceal the ultimate beneficiary and purpose of the funds.*
- *Sudden inflow of funds through Money remittance companies followed by immediate cash withdrawals*
- *No relationship between sender and beneficiary.*
- *Sudden increases in the frequency or value of transactions of a particular customer without reasonable explanation*

Case 3: Dusit attack financing

Dusit attack financing³

In January 2019, four armed assailants affiliated to Al-Shabaab attacked Dusit D2 Hotel during which 21 civilians died.

Financial investigations revealed the following:

Between October 2018 and January 2019, Mr. AAA the main financier, using two mobile lines, one registered under his name and the other registered under his deceased brother, sent KES 836, 900 to the Dusit main attacker. The funds were sent through a mobile number registered to EKM using a stolen ID.

On multiple occasions, the transactions in mobile accounts registered by EKM were conducted in different locations at the same time. In one occasion the funds withdrawn were traced to an employee of an NPO who used the funds to purchase telecommunication equipment.

³ <https://digitallibrary.un.org/record/3834981>

Further investigation in the case also established that the lead attacker also auctioned his fridge and other household goods through online sales to raise funds to support part of his activities including airtime purchase and travel facilitation for his spouse to Somalia

Movement of funds

- Informal money transfer systems (hawala)
- Cash
- Mobile money

Usage of funds

- Purchase and smuggling of weapons
- Purchase of motor vehicles
- Facilitation of travel
- Procurement of fake IDs
- Payment of rent expenses

Red flags/Indicators

- *Registration of mobile SIM cards with fake IDs for mobile transactions*
- *False information and use of forged identity documents during the identification procedure for money remittances*
- *Amount received in structured amounts*
- *Carrying out mobile money transactions in different locations on the same day indicating the phones are possibly not being used by the same person*
- *No relationship between sender and beneficiary*

Case 4: Abuse of Non-Profit Organizations (NPO)

Abuse of NPOs

A community-based organization (CBO) established in Kenya in 2008, as an informal self-help group in a slum within of Nairobi and the Coast region was linked to financing Al-Shabaab. The group swiftly evolved from a 'rights forum' claiming to articulate the social, economic and religious grievances of impoverished young Muslims into one of the largest support networks for Al-Shabaab in Kenya. It recruited and raised funds for the organization, and conduct orientation and training events inside Kenya. The organization collected donations in cash from different donors under the pretext that the funds were to be used to finance social, economic and religious activities. Reports linked the organization to a suspected terrorist, who was under investigation for terrorist activities.

Sources of funds

- Donations

Movement of funds

- Cash withdrawals
- Mobile money
- Wire transfers

Usage of funds

- Recruitment
- Trainings

Red-flags/Indicators

- *Multiple cash donations and deposits in small amounts followed by request to withdraw cash.*
- *NPO treasurer or employee withdraws cash from the NPO account and then deposits it into a personal account, before diverting the funds to a suspected terrorist's account.*
- *NPO transactions for which there does not appear to be a logical economic purpose or link between the NPO's stated activities and the other parties in the transaction.*
- *NPO is unable to account for the final use of all its funds/resources.*
- *NPO or NPO representatives, use falsified or conflicting documentation*

Case 5: Abuse of money remittances

Abuse of money remittances

In September 2018 a Kenyan was listed as a Specially Designated Global Terrorist (SDGT) for assisting in, sponsoring, or providing financial, material, or technological support for, or financial or other services to or in support of, ISIS.

Between 2017 and early 2018, the Subject is suspected to have moved over Kshs. 150,000,000 through his complex network. His personal account received large cash deposits made by himself and his associates, claiming that the money came from a vehicle and spare auto parts company owned by a family member. The deposits were done just after the account was opened. During this period, the suspect also received funds through money remittance companies from multiple countries in Europe that had a number of their citizen's move to Syria as foreign terrorist fighters. Part of the funds were later transferred through wire transfers to his associates claiming he was purchasing spare parts, but he was unable to provide support documents to support the claim. The funds were then sent to ISIS fighters Syria, and Eastern DRC through hawala and money remittance companies.

Movement of funds

- Informal money transfer systems (hawala)
- Wire transfers
- Mobile money
- Money remittances through MRPs

Red flags/Indicators

- *Multiple transfers made by several people to the same beneficiary or related persons.*
- *Receipt of funds over a short period of low amounts that together represent a large sum of money.*
- *No relationship between sender and beneficiary.*
- *Funds received from high-risk jurisdictions without reasonable explanation, which are not consistent with the customer's usual foreign business dealings*
- *Sudden increases in the frequency or value of transactions of a particular customer without reasonable explanation.*
- *Sudden inflow of funds through Money remittance companies followed by immediate cash withdrawals.*
- *Amount received in structured amounts and through different money remittance companies to avoid detection and conceal the ultimate beneficiary and purpose of the funds.*

- *The use of straw men or money mules, where individuals receive funds on behalf of criminal or criminal organization receiving some form of remuneration in return.*
- *Mismatch between the economic activity, country of origin, or person and the money remittances received.*
- *False information and use of forged identity documents during the identification procedure.*
- *Non face-to-face customers are not physically present for identification purposes.*
- *The customer appears to be in doubt when asked for further details about purpose of funds.*
- *The customer gives a rather detailed explanation that appears to be rehearsed concerning the purpose of remittance*

Case 6: Trade-based terror financing

Mr. X is a Kenyan businessperson operating in Mombasa Kenya. He was arrested in April 2023 on suspicion of importing goods from China to Somali on behalf of Al-Shabaab. Investigations established that Mr. X had ordered two suspicious shipments from China to Somalia, which were intercepted at an airport and an international port in Somali. The intercepted cargo had been declared as general household goods. However, inspection established that the shipments contained military surveillance equipment. The consignment included drones, riflescopes, apparel for making military uniforms, canvas materials for making tents, night vision and swimming goggles, voice recording pens, spy goggles and watches, military radios, helmets and torches.

A review of the financial transactions established that payments were made from Mr. X to the Chinese vendor through third party online payment systems.

Movement of funds

- Online payment service providers

Usage of funds

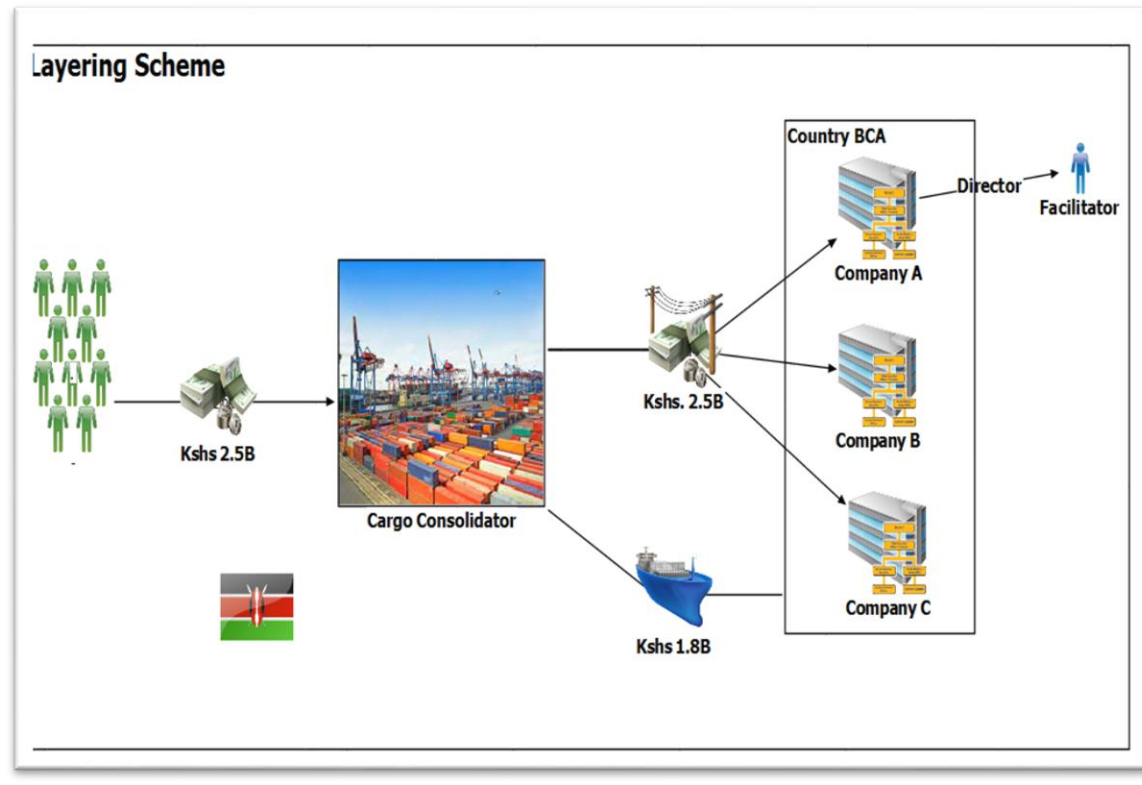
- Purchase of military weapons and merchandise

Red-flags/Indicators

- *Unusual trade patterns with unjustified complexities.*
- *Dual use goods are shipped to jurisdictions with high TF risks*
- *Inconsistent terms within documentation to obscure the beneficiary*
- *vague product descriptions or destinations*
- *Content or size of shipment appears inconsistent with exporter or importer's regular business activities.*
- *Company lacks online presence or has an online presence inconsistent with its purported business activities*
- *Falsely describing number, quality, or value of items on invoices or other trade-related documents*
- *Complex transactions designed to obscure the true nature of the transaction.*
- *Transactions that are inconsistent with the customer's stated normal business*
- *Customer requests payment of proceeds to an unrelated third party*

- Goods shipped with no correspondence payment
- Funds transferred with no correspondent shipment of goods.
- Transactions supported with manipulated and forged documents.

Chart



APPENDICES

Appendix 1: TBML indicators

TBML INDICATORS	
Trading activity - Trading activity that does not reflect a stated line of business, for example car dealers trading in textiles or precious metals. - Unusually complex trade deals such as deals that involve multiple third-party intermediaries, or that use needlessly complex trade routes. - Trading entities that overly complicate the use of financial products, intermingle different products, or use a single product for an unusual amount of time. - Trading entities that consistently show unsustainably low profit margins or that make purchases clearly beyond their economic capabilities. - Newly-formed trading entities that engage in high volume or high value trades	Account and Transaction - Accounts that receive high volumes or deposits that are immediately transferred to other accounts, left with little end-of-day balance for no clear business reason. - Accounts engaging in high volumes of transactions that are inconsistent with their stated business activity. - Trading entities that make very late changes to payment arrangements. - Payments for imports made by parties other than the account holder. - Frequent cash deposits in amounts just under the reporting thresholds.
Structural - Unusually complex or illogical corporate structures such as the use of shell companies or companies in high-risk jurisdictions. - Trading entities registered at bulk registration addresses without any indication of a specific unit – such as high density residential or commercial buildings, or industrial complexes. - Trading entities with addresses that do not correspond to the nature of their business activities. - Trading entities that do not have an online presence or that have an online presence that does not reflect their stated business activities. - Trading entities with unexplained periods of dormancy - Trading entities with names that mimic more-established competitors, and which may be attempts to appear affiliated with those competitors - Negative news media involving a trading entity or its employees.	Document - Inconsistencies or discrepancies across trade documents such as contracts and invoices. - Trade documents with values that are not consistent with market values or other comparable transactions. - Trade documents with only vague or very general references to the commodities being transported. - Missing, counterfeit, or falsified trade documents. - Trade documents that are unsuitably simple for the complexity of the deal they support. - Shipments that are routed through numerous jurisdictions with no economic or commercial justification.

Appendix 2: Tax fraud indicators and schemes

TAX FRAUD TECHNIQUES AND INDICATORS	
Manifest fraud - Frequent changes to cargo manifest without a valid reason. - Incorrect or incomplete details on shipment documentation (e.g., consignee details or origin/destination). - Cargo discrepancies between manifest and physical goods (e.g., wrong descriptions or quantities). - Shipments with unusual or complex routing that don't align with the business model. - Large volumes of goods moved in small containers to avoid inspection or taxes.	Invoice Fraud - Invoices with inconsistent or inaccurate details such as fake company names, incorrect addresses, or missing tax identification numbers. - Invoices for goods/services not received or goods/services with inflated prices. - Frequent use of dummy companies or shell entities as suppliers or clients. - Invoices with unclear or unusual payment terms, or no payment details at all. - Duplicate or multiple invoices for the same transaction or goods.

Fake Payment of import taxes - Payments made for duties or taxes not matching the declared value of goods. - Overpayment or underpayment of import taxes, followed by claims for refunds or credits. - Payments to unknown or unregistered accounts, especially if the tax authority's receipt system is bypassed. - Use of fake or forged payment receipts or documents to show tax compliance. - Payments made at odd hours or using unconventional payment methods to avoid tracking	Diversion/Dumping of transit goods - Goods diverted from their declared final destination to unauthorized locations or markets. - Frequent discrepancies in the destination of goods and the actual delivery addresses. - Under-declared or incorrect classification of goods, indicating they might be diverted. - Goods found to be sold at significantly lower prices than normal market rates. - Unusual transit routes that don't match standard logistics or shipping practices.
Customs mis-declarations - Incorrect customs declarations regarding the quantity, value, or description of goods. - Inconsistent or incomplete HS codes used in declarations for goods. - Understated values of goods to evade tax liabilities. - Frequent amendments to declarations after submission without clear justifications. - Invoices or documentation mismatching customs declarations (e.g., higher declared values than actual receipts).	Smuggling - Goods not declared at customs or customs duties not paid. - Large amounts of cash being moved without declaration at border points. - Unusual shipping containers or hidden compartments to conceal goods. - Mismatched documentation for goods entering or leaving the country. - Goods being transported through unconventional or unmonitored routes, such as secondary or lesser-known border crossings.
Fraudulent cancellation of export entries - Exports cancelled after goods have already left the country, with no valid justification. - Changes to export documentation after goods are shipped, without proper approval or explanation. - Refund requests for duties paid on cancelled export entries that lack supporting evidence. - Frequent export cancellations for goods that are frequently not returned. - Payments related to the cancelled exports that don't match with the amount of goods or services involved.	Import/Export of prohibited or restricted goods - Shipping restricted or prohibited items with false or misleading documentation. - Frequent attempts to bypass standard inspection processes by declaring false goods or using incorrect codes. - Customs shipments failing inspection and found to contain prohibited goods. - Inconsistent or contradictory shipping documents that suggest smuggling of restricted goods. - Imports of restricted items being broken down into smaller shipments to avoid detection.
Nil/Non-Filing of Income Tax Returns - Frequent non-filing of tax returns for a company or individual with a known income source. - Significant discrepancies between business activity and income tax filings (e.g., large-scale operations with no taxable income reported). - Sudden drastic drop in reported income or "losses" reported in returns. - No tax filings for several consecutive years, despite conducting business. - Frequent late filings or filing just before enforcement actions are taken.	Under declaration of income - Income or sales reported significantly lower than expected based on market conditions or industry standards. - Frequent adjustments to accounts or books to reflect reduced income levels. - Use of cash-based transactions to avoid declaring income. - Large amounts of unreported business activity for which no records exist. - Frequent use of related party transactions to shift income and reduce declared profits.
Dealing with excisable goods without a license - Sales of excisable goods (e.g., wines and spirits, tobacco) without valid licenses or permits. - Large volumes of excisable goods being imported/exported with no clear records. - Frequent payments to unknown entities that could be illicit suppliers of excisable goods. - Unlicensed storage or distribution of excisable goods in locations that do not meet regulatory standards.	Use of Fake Security Bonds to Clear Transit Goods - Submission of fraudulent or forged bonds to clear goods through customs. - Discrepancies between bond amounts and goods being cleared, suggesting over- or under-stated values. - Repeated use of the same fake bond across multiple shipments. - Bond issuers without proper accreditation or registration.

- Unreported or misreported sales of excisable goods to evade taxes.	- Goods being cleared faster than expected, using questionable security bonds that may not be valid.
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Appendix 3: Virtual Assets ML/TF indicators

VIRTUAL ASSETS INDICATORS FOR ML AND TF	
Transactions - Structured VA transactions in small amounts to avoid record-keeping or reporting thresholds. - A series of large transactions conducted in quick succession, in a spaced-out manner, or involving newly created or previously dormant accounts. - Immediate transfer of virtual assets to several Virtual Asset Service Providers (VASPs), particularly those located in jurisdictions unrelated to the customer or with weak Anti-Money Laundering and Counter-Terrorist Financing (AML/CFT) regulations. - Depositing virtual assets at an exchange and then promptly withdrawing them without any further trading, or converting them into various types of virtual assets without a valid business reason, or transferring them to a private wallet, essentially transforming the VASP into a money laundering mixer. - Accepting funds from VA addresses known to hold stolen or fraudulent funds - Multiple VA and fiat transfers to foreign vasp as layering techniques for illicit proceeds	Transaction patterns - Large initial deposits by new users that are inconsistent with their profile, followed by immediate trading or withdrawal. - Attempts by new users to trade or withdraw their entire balance off the platform immediately. - Transactions involving multiple VAs or accounts without a logical business explanation. - Frequent transfers to the same VA account by multiple people, from the same IP address, or involving large amounts. - Incoming transactions from many unrelated wallets in small amounts with subsequent transfer or exchange for fiat currency may suggest accumulation of illicit funds. - Conducting VA-fiat currency exchange at a potential loss or with abnormally high fees without a logical business explanation. - Converting large amounts of fiat to VAs or one VA type to another without a clear purpose.
Anonymity - Transactions involving Anonymity-Enhanced Cryptocurrencies (AECs) or privacy coins, especially when combined with moving VAs from a transparent block chain to a centralised exchange and then trading for an AEC - Customers operating as unregistered/unlicensed VASPs on peer-to-peer (P2P) exchange websites, particularly when handling large VA transfers and charging high fees. - Abnormal activity of VAs cashed out at exchanges from P2P platform-associated wallets and transfers to or from wallets with previous activity linked to mixing/tumbling services or P2P platforms. - Use of mixing and tumbling services directly suggests an intent to obscure illicit funds. - Funds deposited or withdrawn from VA addresses with links to known suspicious sources like dark net marketplaces, mixing services, questionable gambling sites, ransomware, or theft reports. - Use of decentralised/unhosted, hardware or paper wallets to transport VAs across borders. - users registering domain names or using IP addresses associated with the dark net or anonymous communication software (like VPNs). - A large number of seemingly unrelated VA wallets controlled from the same IP address can indicate concealed relationships.	Senders or Recipients - Creating multiple accounts under different names to bypass restrictions. - Transactions from non-trusted IP addresses - transactions from sanctioned jurisdictions - Frequent account opening attempts from the same IP address - Merchants/corporate users having Internet domain registrations in different jurisdictions than their establishment or in jurisdictions with weak domain registration processes. - incomplete KYC information or refusal to provide it - providing inaccurate information about the transaction or source of funds - submitting forged documents during on boarding - A customer providing shared identification or account credentials, discrepancies in IP addresses and their VA address appearing on public forums associated with illegal activity, or a known criminal association. - A customer's VA trading activity being inconsistent with their profile (e.g., occupation and salary) - Frequent changes in identification information - Trying to access VASPs from different IP addresses frequently - Using language in VA message fields indicative of illicit activity - Repeatedly conducting transactions with a subset of individuals at significant profit or loss

- Use of poorly documented VAs linked to fraud (e.g., Ponzi schemes). - Transactions with VASPs having weak or non-existent KYC processes. - Use of VA ATMs/kiosks in high-risk locations or for repeated small transactions	
Source of funds or wealth - Transacting with VA addresses or bank cards linked to known fraud, extortion, ransomware, sanctioned addresses, dark net marketplaces, or other illicit websites - VA transactions originating from or destined to online gambling services - use of credit/debit cards linked to VA wallets to withdraw large fiat amounts (crypto-to-plastic) or sourcing funds for VA purchases from cash deposits into credit cards, and unusually high deposits with unknown sources followed by fiat conversion - Lack of transparency or insufficient information on the origin and owners of funds, such as those involving shell companies or ICOs with unavailable investor data, and funds sourced directly from third-party mixing services or wallet tumblers - Customer's primary source of wealth is derived from investments in VAs, ICOs, or fraudulent ICOs, or originates from VASPs with weak AML/CFT controls	Geographical risks - Customer funds originating from or sent to unregistered exchanges, using a VA exchange or foreign-located Money Value Transfer Service (MVTS) in a high-risk jurisdiction with inadequate AML/CFT regulations - Sending funds to VASPs in jurisdictions with no VA regulation or AML/CFT controls - Customers setting up or moving offices to jurisdictions with lax regulations without a clear business rationale

Appendix 4: Legal professional indicators for ML and TF

LEGAL PROFESSIONAL INDICATORS FOR ML AND TF	
Client - Overly secretive or evasive behaviour regarding their identity, the beneficial owner, the source of funds, the reason for the transaction, or the overall picture - Use of an agent or intermediary without a good reason - Showing an unusual familiarity with AML/CFT reporting requirements, such as repeatedly asking about procedures for customer identification and suspicious transaction reports - The client, their representatives, or beneficial owners being native to, resident in, or incorporated in a high-risk country - Parties to the transaction being connected without an apparent business reason - Doubtful ties between parties due to family, employment, corporate, or other relationships - Multiple appearances of the same parties in transactions over a short period - Unexplained use of multiple bank accounts or foreign accounts - Private expenditure funded by a company, business, or government - Deferring the method of payment until very close to completion without a logical explanation, especially if no payment guarantee is established	Nature of the Retainer - The client actively avoids personal contact without good reason - The client is willing to pay fees without the requirement for legal work to be undertaken - Requests for unexplained speed in completing a transaction - The client appears very disinterested in the outcome of the retainer - Requiring an introduction to financial institutions to help secure banking facilities - Frequently changing legal structures and/or managers of legal persons - Creation of complicated ownership structures when there is no legitimate or economic reason - Involvement of structures with multiple countries where there is no apparent link to the client or transaction, or no other legitimate or economic reason - The transaction being unusual in its manner of execution - Back-to-back (or ABC) property transactions with rapidly increasing value or purchase price - Abandoned transactions with no concern for the fee level or after receipt of funds - The retainer exclusively relates to keeping documents or other goods, holding large deposits of

- An unusually short repayment period set without a logical explanation - Repeatedly repaying mortgages significantly early without a logical explanation - Purchasing an asset with cash and then rapidly using it as collateral for a loan. - Requesting a change in previously agreed payment procedures without a logical explanation, especially if inappropriate payment methods are suggested - Large financial transactions, especially by recently created companies, not justified by their corporate purpose or activity - Clients linked to negative news or crime, or found to have a positive match against UN Security Council Resolutions. - Clients who appear to be acting on somebody else's instructions without disclosure	- money, or otherwise using the client account without the provision of legal services - There are unexplained changes in instructions, especially at the last minute - Requests for payments to third parties without substantiating reason or corresponding transaction - Litigation settled too easily or quickly, with little/no involvement by the legal professional retained - Instructions by the client for the creation of complicated ownership structures where there is no legitimate or economic reason - Situations where advice on setting up legal arrangements may be misused to obscure ownership or real economic purpose
Transactional Patterns - Use of client account without an underlying legal transaction - Structuring of payments to avoid reporting thresholds or raise suspicion - Complex or unusual transactions, possibly with unrelated parties - Unauthorised or improperly recorded transactions; inadequate audit trails - Payments for unspecified services - Client insisting on loss-making transactions where the loss is avoidable - Absence of documentation to support the client's story, previous transactions, or company activities - Payments for services that appear excessive in relation to the services provided - Transactions with companies whose identity is difficult to establish	Choice of lawyer - Instructing a legal professional at a distance from the client or transaction without a legitimate or economic reason - Instructing a legal professional without experience in a particular specialty or in complicated or large transactions - The client being prepared to pay substantially higher fees than usual without a legitimate reason - The client having changed advisors multiple times in a short period or engaged multiple legal advisors without a legitimate reason - The required service being refused by another professional or the relationship with another professional being terminated - The reason for choosing the legal professional being unclear given the firm's size, location, or specialisation.
Source of funds - The source of funds is inconsistent with the client's known legitimate income or socio-economic profile. - Funds received from or sent to high-risk countries without a good reason. - Significant amounts of private funding or cash - Third-party funding with no apparent connection or legitimate explanation	

Appendix 5: Accountants and TCPs ML/TF indicators

ACCOUNTANTS AND TCSPS INDICATORS FOR MONEY LAUNDERING AND TERRORISM FINANCING	
Country and Geographic Risks - Transactions involving high-risk countries - Multi-jurisdictional payments without a clear business rationale - Transfer of funds from a country where capital transfers may be restricted - Receipts and payments from a high-risk country not in the ordinary course of business - Selling and processing payments in countries identified as high risk	Suspicious behaviours and other indicators - Possible involvement of Domestic Politically Exposed Persons (DPEPs), Foreign Politically Exposed Persons (FPEPs), and Prominent Influential Persons (PIPs) where the entity structure makes it difficult to identify beneficial ownership. - Lack of ML and TF awareness by the accountant. - Anonymity of clients and transactions. - Unwillingness of a client to discuss unusual receipts and payments. - Poor bookkeeping practices (may indicate tax evasion or other underlying criminal activity).

- International payments received from clients, particularly directly or indirectly from high-risk jurisdictions
- Requests for accounting services from offshore clients or local clients with offshore operations that may carry a higher risk for TF/proliferation financing, depending on the business and location.
- Payments for travel arrangements to or from high-risk terrorist jurisdictions.

- Staff to turnover ratio not as expected in a business (potential under-declaration of income/cash off-books).
- Receipts and takings in round numbers and too consistent (potential cash off-books).
- Large increase in profits with no logical explanation, especially in cash-intensive businesses with low declared staff costs.
- Transactions appearing to hide the source of funds, e.g., moving funds from a high-risk jurisdiction to another through seemingly unrelated transactions.
- False self-employment/payments to a shadow director without tax deduction.
- Non-operation of PAYE for a beneficial owner receiving significant "consulting fees" matching their investment.
- Clients involved in the manufacturing or distribution of products that could be used in weapons of mass destruction or exporting to high-risk countries for such activities.
- Clients claiming to provide loans or finance, particularly in high-risk areas, with no evidence of repayment.

Transaction, Service, and Delivery Channel Risks

- Use of cash for payment of services, especially if unusual for the client's business.
- Transactions that are complex and lack transparency.
- Use of new payment technologies e.g., cryptocurrencies, without apparent legitimate reason.
- Reversing of transactions with a request to repay funds already paid.
- Transactions that do not make economic sense.
- Transactions split unnecessarily between different providers.
- Requests for trusts, shell companies, and other legal arrangements with the potential to conceal the true identity of beneficial owners.
- Accountants being asked to handle the receipt and transmission of funds through accounts they control.
- Requests to transfer assets between parties in an unusually short period, hindering KYC.
- Funds received from or sent to a foreign country with no apparent connection to the client.
- Clients using multiple bank accounts or foreign accounts without good reason.
- Sudden changes in how transactions are concluded or instructions to the accountant, lacking economic sense.
- Over or under invoicing of goods/services.
- Multiple invoicing of the same goods/services.
- Falsely described goods/services – over or under shipments (e.g., false entries on bills of lading).
- Multiple trading of goods/services. Transfers of goods that are inherently difficult to value.
- Successive capital or other contributions in a short period to the same company without legitimate reason.
- Transactions involving closely connected persons with inconsistent explanations.
- Payments received from un-associated or unknown third parties and payments for fees in cash where this would not be a typical method of payment.

Client risk

- Clients operating in sectors with prevalent ML/TF opportunities.
- Clients who are Politically Exposed Persons (PEPs) or closely associated with them.
- Unusual complexity in control or ownership structures without clear explanation.
- Client companies operating a significant part of their business or having major subsidiaries in high geographic risk countries.
- Cash (and/or cash equivalent) intensive businesses, especially if not subject to full AML/CFT regulation.
- Non-profit or charitable organisations engaging in transactions lacking a logical economic purpose or connection to their stated activities.
- Clients using financial intermediaries, financial institutions, or DNFBPs not subject to adequate AML/CFT laws and supervision.
- Clients appearing to act on somebody else's instructions without disclosure.
- Inconsistencies between transactions, structures, geographical locations, international activities and the accountant's understanding of the client's business or economic situation.
- Clients suspected of falsifying activities through false loans, false invoices, and misleading naming conventions.
- Transfer of a company's seat to another jurisdiction without genuine economic activity in the destination country.
- Clients trying to conceal their identities.
- Transactions inconsistent with the client's stated income or occupation.
- Clients using an unusual source of funds to transact.
- Transactions lacking a legitimate or economic reason.
- Clients ceasing business relationships upon a request for Customer Due Diligence (CDD) information.
- Clients requesting funds to be paid into or from a third-party account with no obvious link.
- Clients difficult to reach or hesitant to provide CDD/business activity information.
- Refusal by an investor (becoming a beneficial owner) to provide CDD.
- Unsatisfactory answers regarding the source of an investor's funds.
- Clients with extremist political, religious, or world views (potential TF risk).
- High-net-worth individuals



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Money Laundering and Terrorism Financing Trends and Typologies Report



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